FINANCIAL CRISIS EXPLAINED



Business Explained

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“

The best investment you can make is an investment in yourself. The more you learn, the more you’ll earn.

”

Warren Buffett

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INTRODUCTION 6
WHAT IS RECESSION? 8
What Causes Recessions? 8
Recessions And The Business Cycle 11
How Does A Recession Affect Me? 11
5 KEY RECESSION INDICATORS 13
WHAT IS INFLATION 18
What Drives Inflation 19
RECESSION THROUGHOUT HISTORY 23
February 1945 through October 1945: The V-Day Recession 23
Post-War Brakes November 1948 - October 1949: Tap Recession 24
July 1953 to May 1954: The M*A*S*H* Recession 24
August 1957 to April 1958: The Investment Bust Recession 25
“Rolling Adjustment” from April 1960 to February 1961 had a recession 26
December 1969 to November 1970: The Guns and Butter Recession 26
Part 1 of the Iran and Volcker Recession: January to July 1980 27
Double-Dip: Part 2 July 1981 through November 1982, a recession 27
July 1990 until March 1991, the Gulf War Recession 28
March 2001 to November 2001: The Dot-Bomb Recession 28
December 2007 to June 2009 marked The Great Recession. 29
February 2020 until April 2020: The COVID-19 Recession 29
THE WORLD’S MOST DEVASTATINGFINANCIAL CRISES EXPLAINED 30
The Credit Crisis of 1772 30
The Great Depression of 1929–39 31
The OPEC Oil Price Shock of 1973 31
The Asian Crisis of 1997 32
The Financial Crisis of 2007–08 32
FINANCIAL CRISIS 2008 VS FINANCIAL CRISIS 2022 33
STAGFLATION VS RECESSION: WHICH IS WORSE 34
Which One Is Worse Between Stagflation And Inflation? 35
INFLATION VS STAGFLATION: HOW DO THEY DIFFER? 36
THE COVID-19 RECESSION: FEBRUARY 2020–APRIL 2020 38
What is the Shape of a Recession? 39
HOW BAD THE NEXT RECESSION COULD BE? 40
WHY THIS GLOBAL ECONOMIC CRISIS IS DIFFERENT? 42
IS THERE A GOOD INFLATION? 44
WHO IS HURT MOST BY INFLATION? 45
Savers!!! 45
Borrowers With Adjustable-Rate Mortgages 46
WHO BENEFITS FROM INFLATION? 47
Business/Household With High Debt 47
Governments with debt 47
Owners of real estate and tangible assets 48
CPI INFLATION CALCULATOR EXPLAINED 49
DIFFERENT TYPES OF INFLATION 51
3 KEY INDICATORS SHOW INFLATION IS POISED TO EASE 54
5 WAYS TO PREPARE YOUR FINANCES FOR A RECESSION? 56
6 MISTAKES TO AVOID DURING A RECESSION 59
CAN YOU PROTECT YOUR 401K DURING A RECESSION? 61

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WHY DOES UNEMPLOYMENT RISE DURING A RECESSION? 63
THE BIG RISKS OF BUYING A HOUSE DURING A RECESSION 65
HOW LONG COULD THE NEXT RECESSION LAST? 66
HOW CAN A FINANCIAL CRISIS BE AVOIDED? 67
HOW WILL RECESSION IMPACT SMALL BUSINESSES? 71
HOW WILL RECESSION IMPACT S&P 500? 73
HOW WILL RECESSION IMPACT CRYPTO? 75
HOW WILL RECESSION IMPACT STOCKS? 77
WHO CAN BENEFIT FROM A RECESSION? 78
SHOULD YOU DIVERSIFY YOUR ASSETS? 79
WHAT IS BUCKETING APPROACH? 80
HOW TO USE THE RETIREMENT BUCKET STRATEGY 81
THE IMPORTANCE OF A RETIREMENT BUDGET 83
THE DIFFERENCE BETWEEN A SAVINGS ACCOUNT AND A CD (CERTIFICATE OF DEPOSIT) 85
THE IMPORTANCE OF CREDIT CARDS 87
Personal Credit Benefits 87
Business Credit Benefits 87
Effects On The Economy 88
Rewards Programs And Other Benefits 88
WHAT COMES AFTER RECESSION (CONCLUSION) 89
CONCLUSION 93

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INTRODUCTION

Welcome to yet another book by Business Explained!

This book's goal is to give a collection of research papers that are relevant to financial crises, while covering the causes and institutional dynamics of the financial crisis to macroeconomic developments, and the behavior of interest and inflation rates during recessions.

Naturally, given its significance and far-reaching economic, political, and social consequences throughout the world, the majority of the chapters that will follow will be concerned with identifying issues surrounding the economic elements.

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However, the time of writing the introduction to this book is such that we are convinced that the potential effects on the financial crisis are distinctive and must be addressed; we are, of course, referring to the ongoing financial crisis caused by the recession. As such, the primary goal of each chapter is to analyze the effects of the later crisis on the global economy and, in particular, the financial sector, and to build a ‘bridge’ between what is covered in the next chapters and what is currently happening around us at this moment.

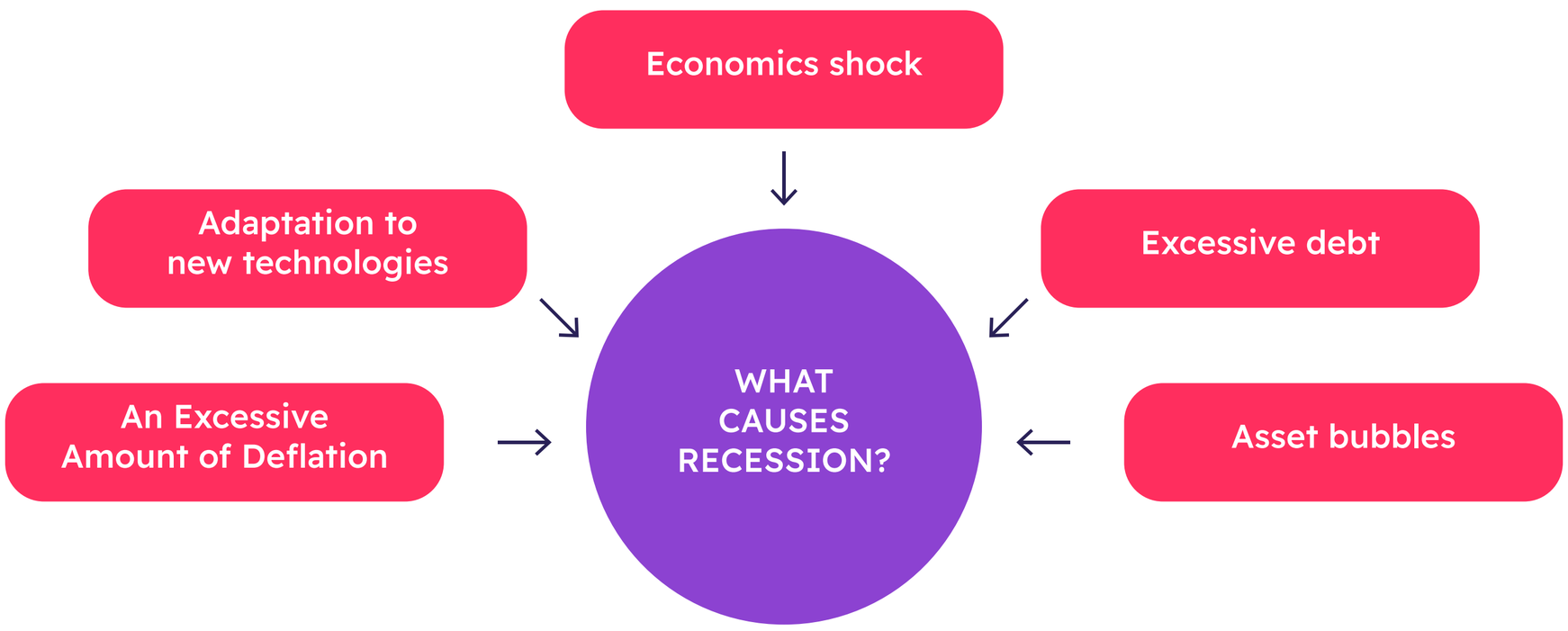
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WHAT IS RECESSION?

Since a recession causes individuals to lose their employment, businesses to sell fewer products, and the economy as a whole to weaken, it lowers the nation's total economic productivity. An economy's official state of a recession may be determined by many different criteria. In terms of macroeconomics, a recession is defined as a period during which there is a significant drop in total economic activity in a given country. The united states have been battling financial crises for quite some time now.

A decrease in the Gross Domestic Product (GDP) for two consecutive quarters, along with monthly signals such as a rise in unemployment, had traditionally been used as a gauge. However, these signals may no longer be sufficient for defining a recession, as submitted by the National Bureau of Economic Research (NBER). According to NBER, a recession is characterized by a widespread and severe fall in economic activities that persists for more than a few months and is reflected in real GDP, real income, employment, industrial production, and wholesale-retail sales.

WHAT CAUSES RECESSIONS?



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There are several potential triggers for the beginning of a recession, including an unanticipated economic shock or the impact of inflation that goes unchecked. One of the following phenomena is likely to be cited as one of the critical reasons for a recession:

Economics shock

An unplanned event that has a significant negative impact on a country's economy is called an economic shock. For instance, the Organization of the Petroleum Exporting Countries (OPEC) abruptly quit providing oil to the United States in the 1970s, resulting in a recession and huge queues at petrol stations. Also, the advent of the coronavirus, which caused economies throughout the globe to collapse, is a more recent example of an unexpected economic shock.

Excessive debt

The expense of debt servicing can rise to the point that people or companies who take on excessive debt find themselves unable to make their payments. The consequent increase in bankruptcies and debt defaults has a disastrous impact on the economy. A recession brought on by excessive debt was most prominently demonstrated by the mid-2000s housing bubble that sparked the Great Recession.

Asset bubbles

Emotion-driven investment decisions often result in poor economic consequences. When the economy is doing well, investors could get carried away with their optimism and become overconfident. Former Federal Reserve Chair Alan Greenspan is usually referred to as the coiner of the phrase "irrational exuberance" when analyzing the pattern of behavior resulting from the disproportionate rises in the stock market in the late 1990s. Irrational exuberance is what drives the bubbles that form in the stock market and the real estate business. When these bubbles pop, it may lead to panic selling, which in turn can trigger a market collapse and a recession.

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An Excessive Amount of Inflation

Inflation refers to a general tendency in which prices continue to rise over time. Inflation is not bad in and of itself, but when it gets out of hand, it can hurt the economy. Increasing interest rates is one strategy that central banks may use to rein in inflation, but doing so will have the unintended consequence of retarding the expansion of the economy. Inflation soared throughout the 1970s. The Fed mitigate and halt the cycle by rapidly raising interest rates, which reduced economic activity.

An Excessive Amount Deflation

A recession can be brought on by uncontrolled inflation, but deflation can be far worse. Deflation occurs when prices drop over time, which lowers wages, which lowers prices even more. When a deflationary feedback loop becomes uncontrollable, consumers and businesses cease making purchases, which hurts the economy. Few resources are available to central banks and economists to address the fundamental issues that lead to deflation. Japan's struggles with deflation for the most of the 1990s led to a very severe economic downturn in the country.

Adaptation to new technologies

Over time, discoveries boost productivity and benefit the economy, but there may also be a short period of acclimatization to new developments in technology. There were several waves of labor-saving technical advancements in the 19th century. The Industrial Revolution led to recessions and difficult times by rendering entire professions obsolete. Some economists today are concerned that the abolition of entire job categories by AI and robotics might trigger recessions.

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RECESSIONS AND THE BUSINESS CYCLE

The business cycle explains how an economy shifts back and forth between expansionary and deflationary phases. The economy experiences sound, long-term growth as an economic expansion gets underway. Lenders encourage individuals and corporations to take on more debt as borrowing becomes cheaper and simpler over time. Asset prices begin to be overtaken by irrational euphoria.
Asset prices grow more quickly, and debt loads increase as the economic expansion matures. One of the events in the previous list stalls the economic expansion at some point in the cycle. The shock causes stock market collapses, asset bubble busts, and an increase in the cost of servicing such high debt burdens. Growth slows down as a result, and a recession sets in.

HOW DOES A RECESSION AFFECT ME?



As unemployment rates climb during a recession, you can lose your job. Because there are now more people without jobs, it is much more difficult to get a job to replace the one you already have, and it is also more likely that you will be let go from the position you currently have.

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Those who are successful in keeping their positions may see a decline in their income and benefits, and they may find it more difficult in the years to come to negotiate a better salary for themselves.

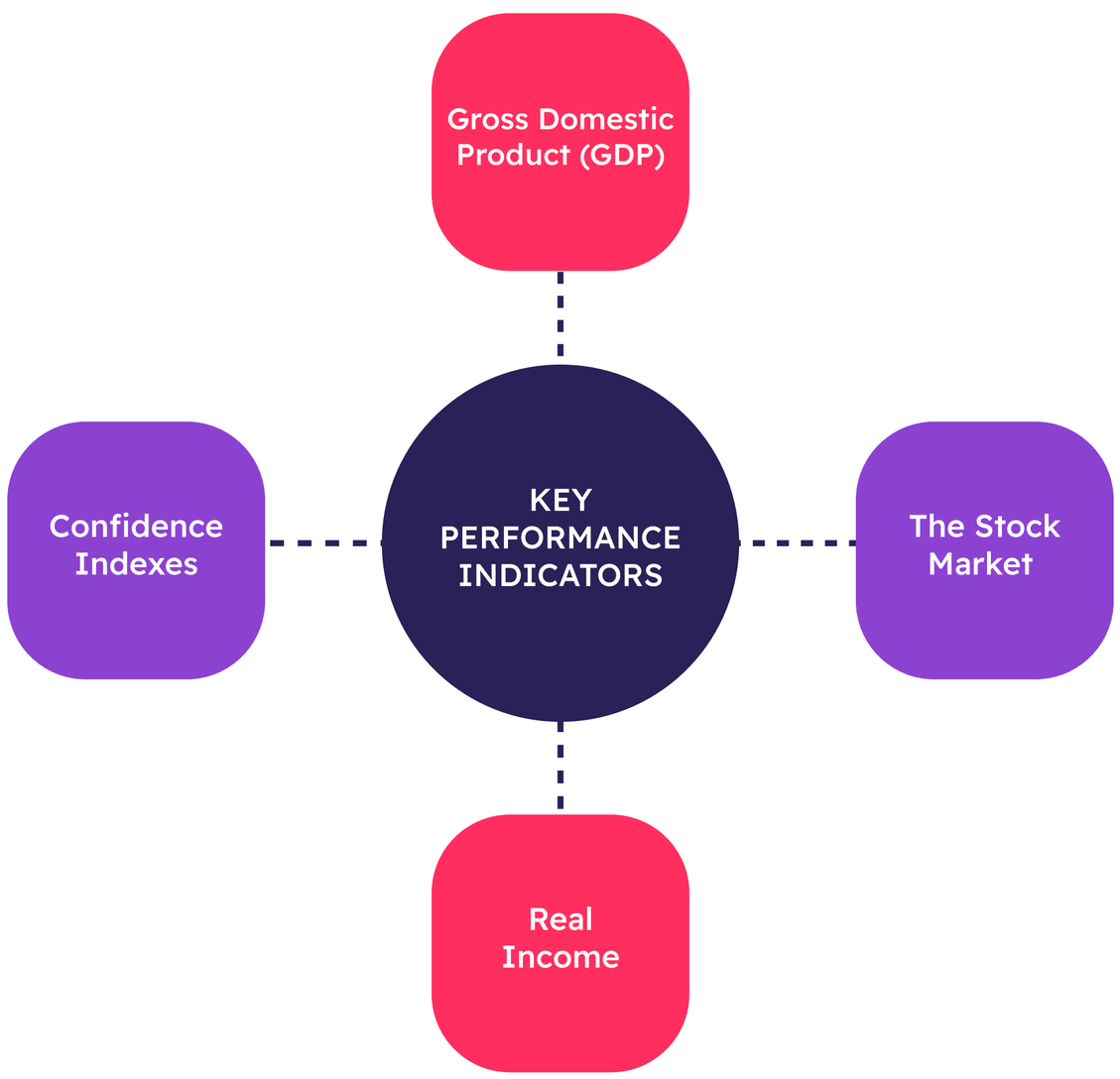
You run the risk of seeing losses on your investments and other assets as a consequence of a recession. This might cause a fall in your savings and can make it more challenging to carry out your plans for retirement. If it is the case that you are unable to foot your bills as a consequence of losing your job, the situation may become much more direr since you run the danger of losing your home and other valuables.
When there is a recession, company owners often see reduced sales and may even be forced to declare bankruptcy as a result. During a severe economic downturn, it is difficult to keep everyone solvent; nevertheless, the government makes an effort to assist enterprises during these tough times by enacting programs such as the PPP, which was used during the coronavirus pandemic.

As a greater number of people discover that they are unable to meet their financial obligations in the midst of a recession, lenders become more stringent with the conditions for mortgages, vehicle loans, and other types of credit. To qualify for a loan, you will either need a better credit score or a larger down payment than you would under more typical economic conditions. This is the case because of the current state of the economy.

Even with enough preparation, enduring a recession could still seem like living in constant fear. If there is one thing to take comfort in, it is the knowledge that economic downturns do not last forever. Even the Great Depression was able to be overcome in the end, and once it did, the United States entered what was almost certainly its most prosperous era of economic growth.

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4 KEY RECESSION INDICATORS

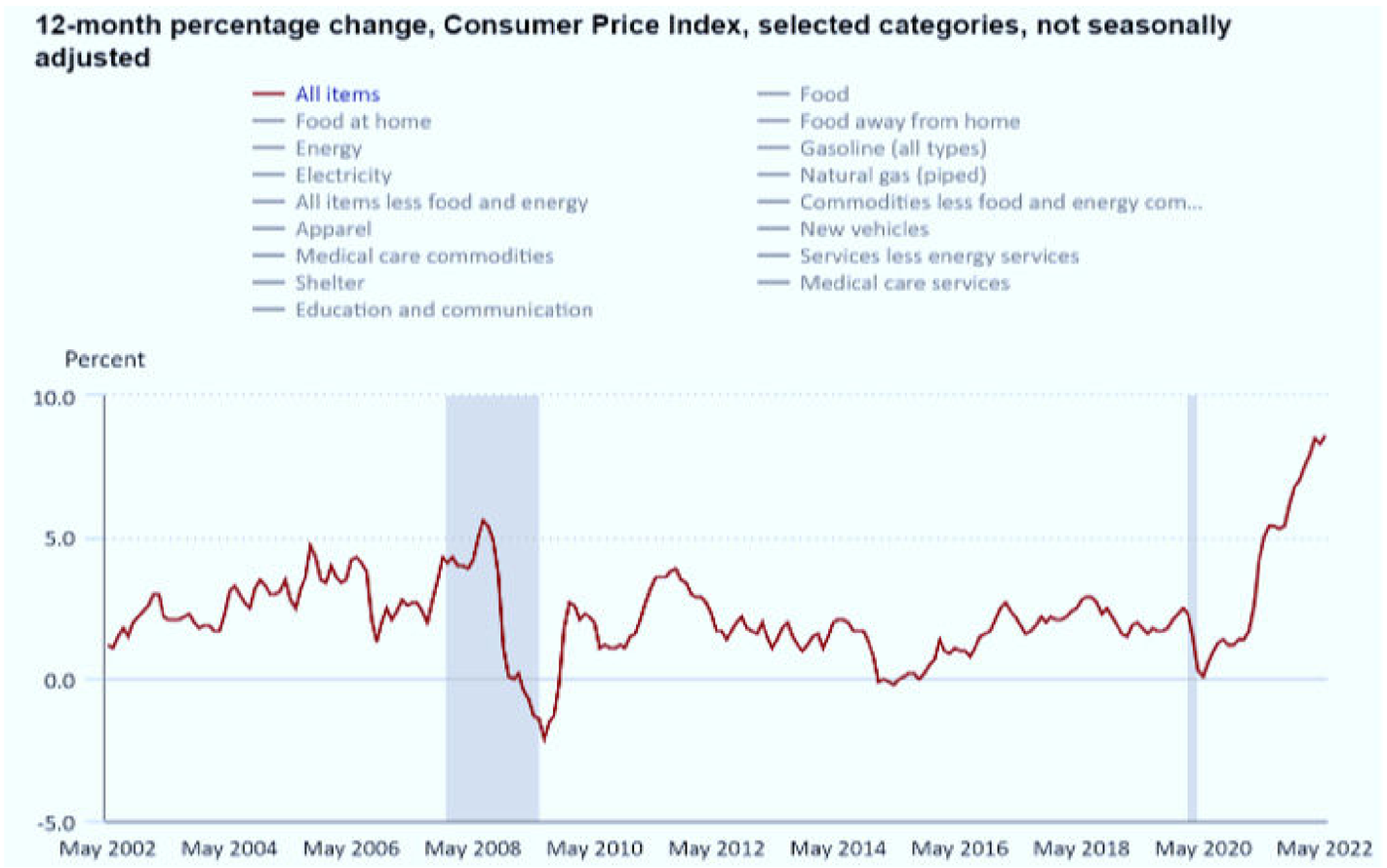


Gross Domestic Product (GDP)

A country's economy's total output of goods and services is quantified by its GDP. Although the same amount of work was used and the same amount of value was produced, hiring someone to clean your house counts toward GDP but doing it yourself does not.

However, GDP is a reliable, popular method of monitoring the nation's total economic production and one of the key measures policymakers and economists use to evaluate whether or not a recession is occurring. A recession is typically underway when the GDP is contracting rapidly and/or continuously. It is often defined as a situation when an economy records a negative growth for two consecutive quarters, however, the National Bureau of Economic Research (NBER) in the United States also considers a wide range of additional indicators before making this determination. Although it was much shorter than the two-quarter GDP threshold, the NBER declared the two months from February to April 2020 to have been a recession because of the sharp fall in economic activity caused by the epidemic.

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GDP is the main metric used to assess recessions, making it a very reliable predictor. However, it's not very useful in forecasting recessions since, at most, it only informs you that one is taking place and, more frequently, aids economists in claiming, "The recession started X months ago." Since it is not easy to measure and compute GDP, initial quarterly measurements are delayed and typically changed when additional information about that quarter's economic activity becomes available.

Confidence Indexes

An easy approach to gauge how people and organizations feel about the economy is to use a confidence index: Simply asking a group of people how they feel about the economy, researchers choose them at random. To ensure that the survey findings are statistically valid, is naturally a little more difficult than that, but that is the fundamental notion. Confidence indices are valuable because they are created consistently across time, allowing for meaningful comparisons between years and even between decades.

There are confidence surveys of both big and small firms, but the University Of Michigan Measure Of Consumer Sentiment is the most well-known and often seen confidence index. The current monthly survey was first conducted in 1946.

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Although its 50 basic questions yield a wealth of information for forecasters and economists alike, the most important finding is a single figure. When that number increases, poll participants are more upbeat about the state of the economy. A decrease in the number indicates growing economic gloom. Although the future of this tradition may be unknown with the December 2021 poetic departure of Richard Curtin, who oversaw the survey for more than 45 years, Michigan's December report typically includes a yearly poem in the vein of "Twas the Night before Christmas."

Although it is not because a randomly chosen American consumer has a premonition about the country's economic future, confidence measures may be remarkably accurate recession predictors. Instead, it is the case that consumer behavior as a whole has a significant impact on the direction of the economy. If the typical consumer is wary, anxious, or suffering from a decrease in income, the whole economy may be slowing down as well.

Similar reasoning holds for confidence indices that poll companies. Even if the experiences of any one firm may be deceptive, the overall experience and attitude of several enterprises is a reliable bellwether. Some firms will succeed while others will fail in any economy, but the overall trend may be quite revealing.

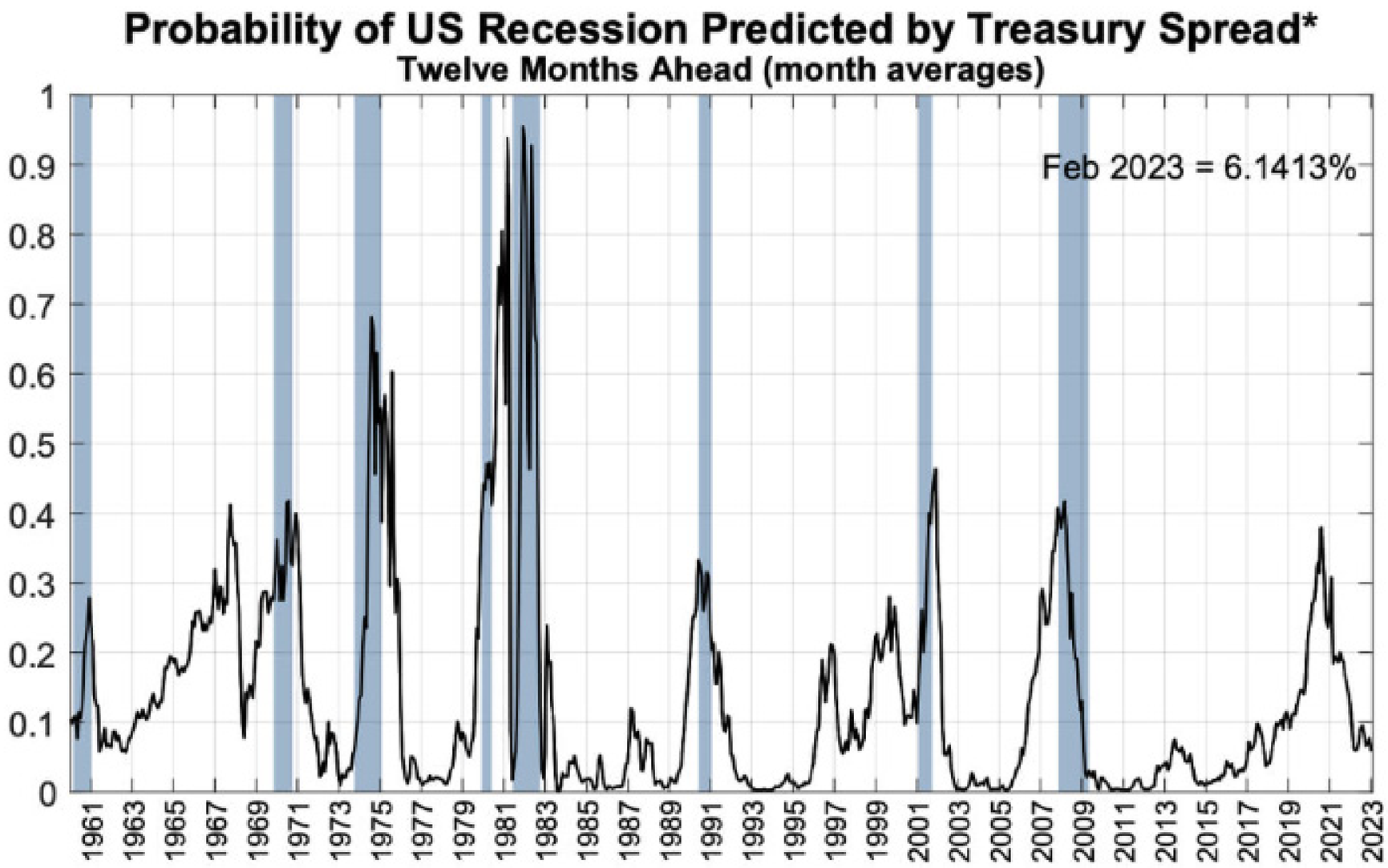
Real Income

Real income is a measure of the purchasing power that customers have that has been adjusted for inflation. Real income offers a more thorough view of how much consumers are earning that can be spent, and a measure of consumer confidence gives forecasters an indication of how comfortable customers feel spending what they have. A recession may be on the horizon if real income starts to fall. One can anticipate that the largest declines will happen once the recession is well under way in more severe recessions.

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The Recession Probability Model of the Federal Reserve Bank of New York.

This subheading may cause you to consider, “It’s great to see that the Fed has combined all of these recession signs into a single model to calculate the likelihood of one. I only need to focus on this and set the rest aside.” Sadly, though, no. There is a probability model published by the Federal Reserve Bank of New York, however, it is solely reliant on the yield curve. To convert the yield curve’s slope into an indicated chance of a recession in the following 12 months, it performs an excellent job of applying statistical models to historical data. However, the disadvantages are the same as those of just examining the yield curve itself.



The Stock Market

The stock market, as reflected by numerous indices, is one of the most often used measures of economic health. The most well-known index for this purpose is arguably the S&P 500, an index of 500 of America’s top corporations. Stock prices react to predictions for the future because markets are said to absorb the wisdom of crowds, or at least the wisdom of investor crowds. That means that share prices are a leading predictor of a company’s health and that indexes as a whole are a leading indicator of the health of the economy.

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The stock market's biggest drawback is that it is a delicate, noisy, if not downright erratic gauge. It does decline during recessions and frequently begins to decline before recessions, but it is also generally quite variable. There are occasions when stock market declines are merely corrections following increases brought on by unwarranted exuberance. They may occasionally be motivated by anxieties that never come true. The herd mentality may also be present in stock investing. Paul Anthony Samuelson, the first American to earn the Nobel Prize in Economics, is credited for telling the famous stock market prediction joke, "The stock market has anticipated nine of the previous five recessions.

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WHAT IS INFLATION

The loss of a currency’s relative purchasing power over time is referred to as inflation. The surge in the average price level of a basket of chosen goods and services over time in an economy can provide a quantitative approximation of the rate at which the reduction in purchasing power happens. A unit of currency essentially buys less as a result of the increase in pricing, which is sometimes stated as a percentage.
On the other hand deflation may be defined as a rise in the purchasing power of money and a decrease in prices.
The formula for calculating Inflation= (WPI in the month of current year-WPI in the same month of the previous year) X 100 WPI in the same month of the previous year.

A mismatch between the supply and demand of money, adjustments to the cost of manufacturing and distribution, or a rise in product taxes are all causes of inflation. The value of currency decreases when an economy undergoes inflation, or when the cost of goods and services increases. This implies that each unit of cash now has a lower purchasing power.
The effects on consumers are the most severe. Consumers struggle to afford even the necessities of life due to the high cost of daily items. They are forced to request more pay as a result and have no other option. As a result, the government works to keep inflation under check.

Contrary to its detrimental impacts, a good economy is characterized by a modest amount of inflation. A two to three percent inflation rate is good for the economy because it encourages consumers to borrow more money and make more purchases since, while inflation is low, interest rates are likewise low. As a result, both the government and the central bank constantly work to establish a limited amount of inflation.

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WHAT DRIVES INFLATION

In an economy, several things can influence pricing or inflation. Inflation often occurs as a result of rising production costs or rising consumer demand for goods and services.



Cost-Push Inflation

Cost-push inflation occurs when prices rise as a result of rising manufacturing costs, including labor and raw materials. Due to rising manufacturing costs, there is a drop in the supply of commodities while the demand for goods remains constant. Because of this consumers pay higher prices for the final items.

Since oil and metals are important production inputs, rising commodity prices are one indicator of potential cost-push inflation. For instance, businesses that utilize copper in the production of their products may raise the cost of their products if the price of copper increases. If there is a market for the product apart from the demand for copper, the company will charge customers more for the raw materials. Without any change in customer demand for the consumed items, the outcome is increased pricing for consumers.

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Wages, which are often the single largest expense for enterprises, have an impact on the cost of manufacturing as well. It is possible for labor or worker shortages to occur during periods of robust economic expansion and low unemployment rates. Companies then raise salaries to entice talented candidates, which drives up production costs for the business. Cost-plus inflation takes place if the business raises prices as a result of rising employee wages.

Natural catastrophes can also raise prices. For instance, as maize is utilized in many items, prices may increase throughout the economy if a cyclone destroys a crop like corn.

Demand-Pull Inflation

A product or service that is in high demand among consumers may experience demand-pull inflation. Prices for a wide range of commodities tend to rise as demand for those things surges across an economy. While short-term supply and demand mismatches are typically not a cause for worry, continuous demand can have an impact on the economy and drive up prices for other items, leading to demand-pull inflation.

When unemployment is low and salaries are growing, consumer confidence is frequently strong, which encourages increased spending. An economy's level of consumer spending is directly impacted by economic expansion, and this might result in a strong demand for goods and services. The amount of a certain commodity or service that is accessible decreases as demand rises. According to the economic concept of supply and demand, people are prepared to pay more for an item when there are fewer of them available. As a result, demand-pull inflation raises prices. Companies can contribute to inflation, particularly if they produce well-liked goods. Simply because customers are ready to pay the higher price, a business can raise pricing.

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Companies may also freely raise prices when the item being sold is one that customers must have daily, like energy and gas. Consumer demand, on the other hand, is what gives businesses the power to increase prices.

The Housing Market

For instance, the housing market has had ups and downs over time. Home prices will increase if there is a demand for properties due to the economy's progress. The housing industry's supporting goods and services are likewise impacted by demand. The demand for building materials like steel and lumber, as well as the nails and rivets used in houses, may rise as a result of the increased demand for housing.

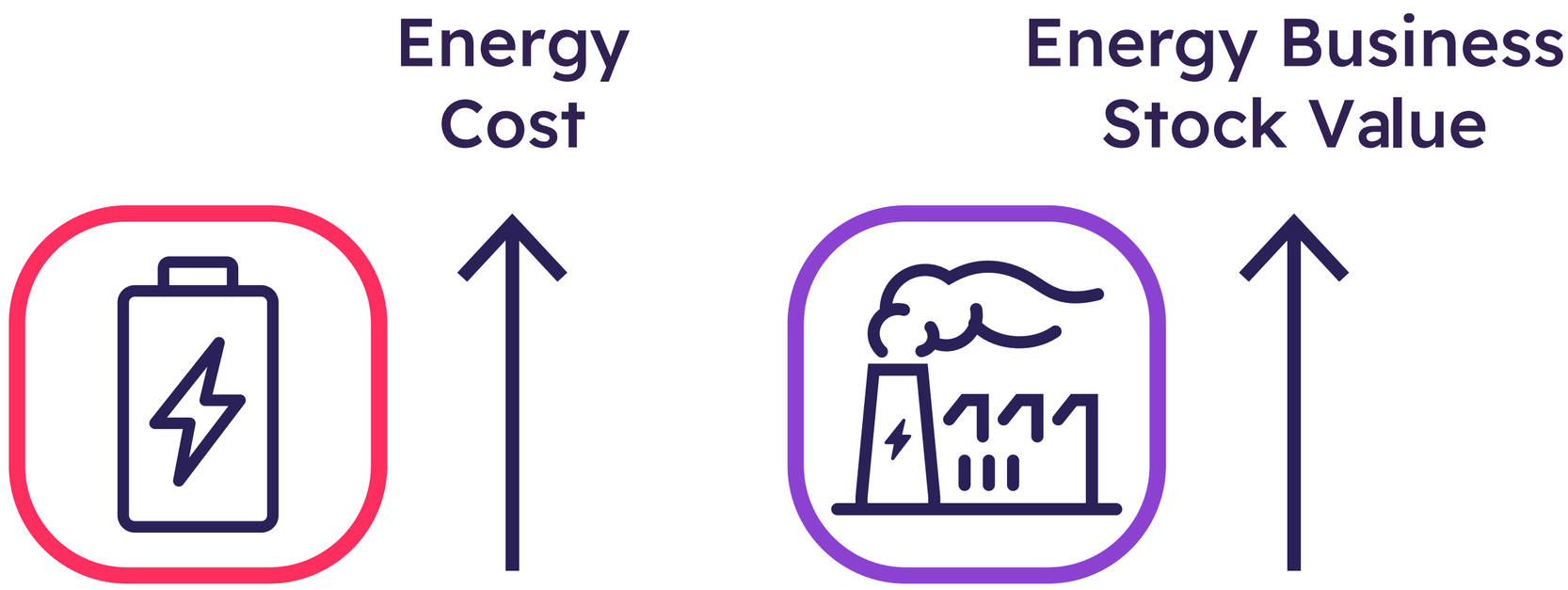
Expansionary Fiscal Policy

The expansionary fiscal policies of governments have the potential to increase the amount of disposable income accessible to businesses as well as individual consumers. Tax cuts make it possible for businesses to invest in new initiatives, pay their employees more, or recruit more workers. Additionally, customers have the opportunity to purchase other items. Increasing the amount of money spent by the government on improving existing infrastructure is yet another approach to stimulate economic activity. Accordingly, there is a possibility that there would be a rise in the demand for products and services, which would have the effect of pushing up prices.

It is conceivable that one element that leads to the decline in interest rates is the implementation of expansionary monetary policies by central banks. The cost of lending for banks can be reduced by central banks like the Federal Reserve, enabling banks to lend more money to consumers and companies. More spending and a higher demand for products and services result from more money being made available across the economy.

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Who Benefits From Inflation?



While individuals don’t benefit much from inflation, investors can profit if they have investments in areas where inflation is a factor. For instance, if energy costs are rising, investors in energy businesses may experience a boost in the value of their stocks.

If they can raise the price of their products in response to a spike in demand, some businesses profit from inflation. Building businesses may charge more for selling homes when the economy is doing well and there is a great demand for housing.

Inflation can therefore provide companies more pricing power and boost their profit margins. If profit margins are expanding, this indicates that product prices are rising faster than increases in manufacturing costs.

Additionally, company owners might purposefully stop supplying the market, enabling prices to increase to a desirable level. However, if inflation is brought on by a rise in manufacturing costs, businesses may also suffer. If businesses are unable to pass on the greater expenses to customers through higher pricing, they run the danger of failing. Their prices wouldn’t have to go up if, for instance, the increase in manufacturing costs had no impact on the competition from outside. To avoid losing clients to enterprises with foreign roots, American businesses may have to absorb the increased manufacturing expenses.

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RECESSION THROUGHOUT HISTORY

FEBRUARY 1945 THROUGH OCTOBER 1945: THE V-DAY RECESSION

Timeframe: Eight months
Reduced GDP by 10.9 percent
Peak rate of unemployment: 3.8%
Causes and reasons – The Great Depression of 1945 was caused by substantial cutbacks in government expenditure and employment made near the conclusion of World Conflict II and in the immediate aftermath of the war. In 1946 and 1947, the federal government cut its expenditures by 40 and 38 percent respectively, while the private sector's production increased significantly.
The magnitude of the recession is still up for debate due to the fact that a significant portion of the cut expenditure reflected output during the war that did not contribute to an improvement in living conditions.
The removal of price restrictions in 1946 led to an artificially reduced level of production after adjusting for the effects of inflation. Despite this, the unemployment rate remained relatively low, in part because huge numbers of women exited the labor field (and often unwillingly).

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POST-WAR BRAKES NOVEMBER 1948 - OCTOBER 1949: TAP RECESSION

Timeframe: 11 months
GDP decreased by 1.7%.
Peak rate of unemployment: 7.9%
Causes and reason – In several aspects, the COVID-19 pandemic's economic recovery was similar to the initial stage of the post-war boom. The end of price restrictions imposed during the war drove a sharp rise in inflation by mid-1946, which was exacerbated by a backlog of consumer demand that had been restrained throughout the conflict and a lack of industrial capacity.
Annualized inflation increased from 3.3 percent in June 1946 to 11.6 percent in July and 19 percent in April 1947, when it peaked.
Only in the second half of 1947 did policymakers act, and their attempts to tighten credit finally caused consumers and manufacturers to undertake job cuts, causing a relatively moderate recession.

JULY 1953 TO MAY 1954: THE M*A*S*H* RECESSION

Timeframe: 10 months
GDP shrank by 2.7 percent.
Peak rate of unemployment: 5.9 percent
Causes and reasons: Government expenditure drastically decreased as the Korean War came to a close, resulting in a reduction in the federal budget deficit from 1.7 percent of GDP in fiscal 1953 to 0.3 percent a year later. In the meanwhile, in 1953, the Federal Reserve tightened monetary policy.

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AUGUST 1957 TO APRIL 1958: THE INVESTMENT BUST RECESSION

Timeframe: Eight months
GDP shrank by 3.7 percent.
Peak rate of unemployment: 7.4%
Causes and reasons: After the Korean War ended, exports of American capital goods soared, ushering in a period of increased international investment.
As the inflation rate increased from 0.4 percent in March 1956 to 3.7 percent a year later, the Fed reacted by tightening monetary policy.
In 1957, fiscal policies that sought to keep budget deficits to a minimum generated a surplus of 0.7 percent of GDP.
Between 70,000 and 100,000 Americans perished in the 1957 Asian flu epidemic, and late 1957 and the beginning of 1958 saw a decline in industrial productivity.
The failure of the Ford Edsel signaled the beginning of the end for Detroit's auto industry supremacy due to the sharp decline in domestic demand and changing customer expectations.
An increase in the deficit in international trade was caused by the severe global recession. After authorities loosened monetary and fiscal restraints on growth, the recession concluded.

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ROLLING ADJUSTMENT" FROM APRIL 1960 TO FEBRUARY 1961 HAD A RECESSION

Timeframe: 10 months
GDP shrank by 1.6 percent.
Peak rate of unemployment: 6.9%
Causes and reasons: The so-called "rolling adjustment" in American manufacturing sectors, which was linked to consumers' declining demand for local automobiles despite rising competition from low-cost imports, gave rise to this relatively mild recession. The Fed increased the rate of funds at federal level from 1.75 percent in mid-1958 to 4 percent by the end of 1959, which, like the majority of past recessions, was followed by higher interest rates.
By the end of Dwight Eisenhower's second term as president, fiscal policy was likewise tightened; from a deficit of 2.6 percent of GDP in 1959 to a surplus of 0.1 percent the following year.

DECEMBER 1969 TO NOVEMBER 1970: THE GUNS AND BUTTER RECESSION

Timeframe: 11 months
GDP contraction: 0.6%
Peak rate of unemployment: 5.9 percent
Causes and reasons: Due to expanding American engagement in the Vietnam War and heavy spending on domestic policy initiatives, military spending rose in the late 1960s.
As a result, although inflation surged from 3.1 percent in 1967 to 4.3 percent a year later and 5.3 percent by 1970, the government budget deficit expanded from 1.1 percent of GDP in 1967 to 2.9 percent in 1968. The federal funds rate was raised by the Federal Reserve from 5% in March 1968 to over 9% by August 1969. Early in 1971, the Fed reduced the federal funds rate once more, helping the economy to recover.

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PART 1 OF THE IRAN AND VOLCKER RECESSION: JANUARY TO JULY 1980

Timeframe: six months
GDP shrank by 2.2 percent.
Peak rate of unemployment: 7.8%
Causes and reasons: Early in 1979, shortly before the Iranian Revolution led to a doubling of oil prices, the United States' inflation rate reached 7% as a result of accommodating monetary policy intended to combat increasing unemployment.
When Paul Volcker was appointed Fed chief in August 1979, the Federal Reserve was already rising interest rates; by April 1980, they had increased from 10.5 percent to 17.5 percent. By dropping the fed funds rate back to 9.5 percent in August 1980, the Fed legally put an end to this brief recession, but inflation remained high and the Volcker Fed wasn't finished.

DOUBLE-DIP: PART 2 JULY 1981 THROUGH NOVEMBER 1982, A RECESSION

Timeframe: 16 months
GDP shrank by 2.9 percent.
Peak rate of unemployment: 10.8%
Causes and reasons: The Federal Reserve increased the fed funds rate to 19 percent by July 1981 after inflation reached 11.1 percent in the fourth quarter of 1980.
Volcker rebuffed numerous requests in Congress to reverse direction as the recession deepened and the unemployment rate increased.
Inflation had dropped to 5% by October 1982, but unemployment remained around 10% until mid-1983.
The majority of economists currently agree with Volcker's claims from the time that failing to reduce inflation and reestablish the confidence of the Fed would have resulted in sustained economic weakness.

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JULY 1990 UNTIL MARCH 1991, THE GULF WAR RECESSION

Timeframe: Eight months
1.5 percent GDP drop
Peak rate of unemployment: 6.8%
Causes and reasons: The oil price shock that followed this relatively minor recession, which started a month before Iraq invaded Kuwait, may have contributed to the rather slow recovery. To control inflation, which increased from 2.2 percent in 1986 to 3.9 percent in 1990, the Fed increased the federal funds rate from 6.5 percent in February 1988 to 9.75 percent in May 1989.

MARCH 2001 TO NOVEMBER 2001: THE DOT-BOMB RECESSION

Timeframe: Eight months
0.3 percent GDP drop
Peak rate of unemployment: 5.5 percent
Causes and reasons: After what was at the time the longest economic upswing in U.S. history, the dotcom bubble burst, causing one of the mildest recessions on record?
From 4.75 percent in early 1999 to 6.5 percent by July 2000, the Fed hiked the fed funds rate. Because the Fed was encouraged to maintain lowering the fed funds rate, the Sept. 11 attacks and the ensuing economic disruptions may have accelerated the recession's end. By mid-2003, the benchmark rate had fallen to 1%.

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DECEMBER 2007 TO JUNE 2009 MARKED THE GREAT RECESSION

Continuity: 18 months
GDP contraction: 4.3%
The highest rate of unemployment: is 9.5 percent
Causes and reasons: A worldwide financial crisis, a bear market in equities that saw the S&P 500 fall 57 percent at its lows, and the worst economic slump since the depression of 1937–1938 were all brought on by the countrywide decline in U.S. property values.
Global investment flows into the United States have kept market rates low, perhaps promoting dishonest practices in mortgage underwriting and the marketing of mortgage-backed securities.
By mid-2008, oil prices had risen to all-time highs before plummeting, which devastated the U.S. oil sector.

FEBRUARY 2020 UNTIL APRIL 2020: THE COVID-19 RECESSION

Timeframe: two months
Causes and reasons: In March 2020, the COVID-19 epidemic reached the United States. As a result of the ensuing travel and job restrictions, employment fell precipitously, ushering in an exceptionally brief but severe recession.
With the $5 trillion in pandemic relief expenditure as a ceiling, the jobless rate increased from 3.5 percent in February 2020 to 14.7 percent in April 2020 before falling below 4 percent by the end of 2021.
Along with a federal funds rate that stayed close to zero until March 2022, the Federal Reserve's quantitative easing program increased its balance sheet from $4.1 trillion in February 2020 to over $9 trillion by the end of 2021.

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THE WORLD'S MOST DEVASTATING FINANCIAL CRISES EXPLAINED

THE CREDIT CRISIS OF 1772

London was the starting point of this crisis, which swiftly extended to the rest of Europe. Through its colonial territories and commerce, the British Empire had amassed great riches by the middle of the 1760s. This led to a period of rapid credit expansion by many British banks and an air of over-optimism.

On June 8, 1772, Alexander Fordyce, a partner in the British banking firm Neal, James, Fordyce and down, escaped to France to avoid paying back his debts, putting an abrupt end to the hysteria. Upon hearing the news, creditors in England started to queue up in front of British banks to demand immediate cash withdrawals, which swiftly spread and caused a financial panic. Scotland, the Netherlands, other countries in Europe, and the British American colonies all experienced the fast spread of the subsequent catastrophe. The Boston Tea Party demonstrations and the American Revolution, according to historians, were greatly influenced by the economic effects of this crisis.

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THE GREAT DEPRESSION OF 1929-39

The 20th century's worst financial and economic catastrophe was this one. Many people think that the 1929 Wall Street crisis was what started the Great Depression and that the U.S. government's bad policy choices subsequently made it worse. Nearly ten years of the Great Depression saw significant economic losses, unprecedented unemployment rates, and decreased productivity, particularly in industrialized countries. At the height of the crisis in 1933, the unemployment rate in the United States was about 25%.

THE OPEC OIL PRICE SHOCK OF 1973

When the United States chose to retaliate against other OPEC (Organization of the Petroleum Exporting Countries) members for supplying Israel with weapons during the Fourth Arab-Israeli War, the crisis got started. Oil exports to the United States and its allies were unexpectedly stopped when OPEC members imposed an oil embargo. This resulted in significant energy shortages, a sharp increase in oil prices, and an economic crisis in the United States and many other affluent nations. The subsequent crisis was notable for the occurrence of both extremely high inflation (caused by the increase in energy costs) and economic stagnation at the same time (due to the economic crisis). output took a good number of years to recover and inflation to drop to its precise levels, leading economists to refer to the period as one of "stagflation" (stagnation plus inflation).

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THE ASIAN CRISIS OF 1997

Thailand was the starting point of this crisis in 1997, and the rest of East Asia and its economic partners were swiftly affected. The economies of Thailand, Indonesia, Malaysia, Singapore, Hong Kong, and South Korea (together referred to as the “Asian tigers”) experienced an overextension of credit and an excessive buildup of debt as a result of speculative capital flows from industrialized nations. The Thai government was forced to give up its fixed currency rate with the US in July 1997. Citing a shortage of foreign currency resources, it stopped supporting the dollar it had been doing for so long. As a result, there was an immediate wave of fear in Asian financial markets, which swiftly caused massive withdrawals of billions of dollars in foreign investment. Fears of a global financial crisis started to spread as the panic erupted in the markets and investors became apprehensive of the impending bankruptcy of East Asian nations. Years passed before everything could go back to normal. The most severely hit economies need rescue packages, which had to be put together by the International Monetary Fund to prevent default.

THE FINANCIAL CRISIS OF 2007-08

As a result, the financial crisis known as the Great Recession, which was the worst to hit the world’s financial markets since the Great Depression, was ignited. Lehman Brothers, one of the largest investment banks in the world, collapsed as a result of the crisis, which was set off by the burst of the U.S. housing bubble. It also forced the government to provide unprecedented-sized bailouts for other important financial institutions and companies. The process of returning to normal took approximately ten years, during which time millions of jobs and billions of dollars in income were lost.

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FINANCIAL CRISIS 2008 VS FINANCIAL CRISIS 2022

Contrary to the spectacular downturns in 2007 and 2020, it may not even be clear when or if the economy enters a recession until it has already started. We are discussing whether we are in a recession because the prior two downturns were depressions.

If a recession were to occur, it might not resemble the Great Recession or a pandemic that occurs only once every 100 years. That's because it wouldn't be an economic downturn brought on by a major catastrophe or traumatic halt to the economy, but rather one brought on by the Federal Reserve.

The so-called "garden type" recession stands in stark contrast to the 2008 recession when household finances were severely affected by falling property values relative to high debt loads. Despite being severely impacted by inflation, many Americans' finances are currently in decent shape.

Many people now have savings, income, and other financial assets they own—such as home equity or stocks—that are probably worth more than they were before the epidemic thanks to stimulus payments and low unemployment.

A downturn would probably result in a less pronounced increase in the unemployment rate than in previous recessions, and maybe a significant portion of the Federal Reserve's desired cooling off might be done without layoffs by firms merely posting fewer job postings.

The 2008 recession, which began in the housing market and spread across society, severely damaged family and business balance sheets and resulted in a slow recovery that took more than seven years to return unemployment rates to their pre-crisis levels.

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STAGFLATION VS RECESSION: WHICH IS WORSE

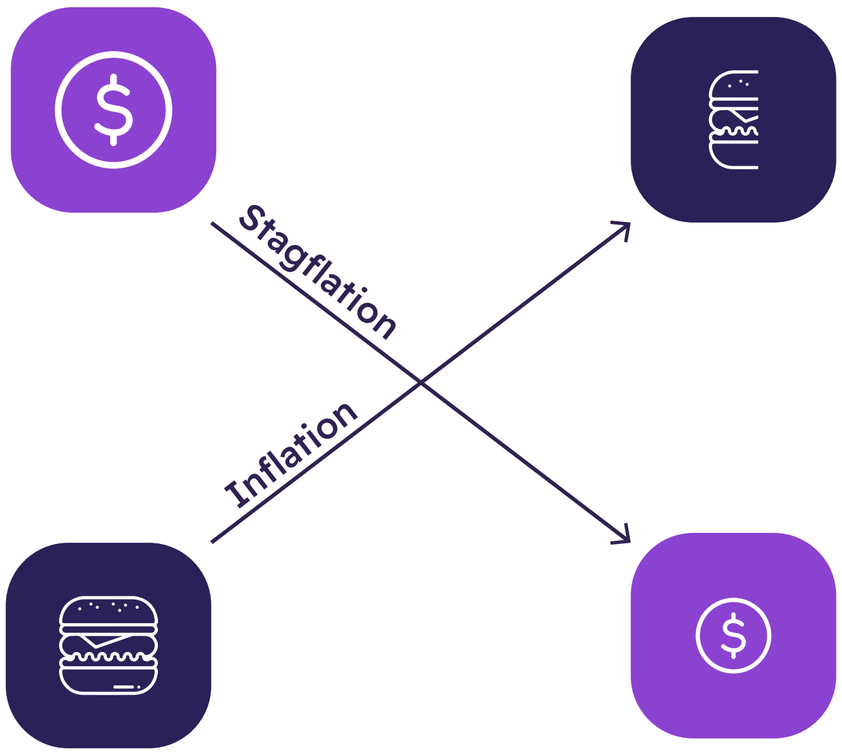
An economic downturn may have a major impact on sales and profitability for even the best-managed businesses, and may ultimately mean the difference between success and failure. Both the words “recession” and “stagflation” refer to periods of weakening economic circumstances. While economic downturns are reasonably frequent, stagflation is a far less common but possibly considerably more harmful condition. Here’s how to comprehend their distinctions from one another.

- Both stagflation and recession refer to deteriorating economic circumstances having detrimental effects on the company.
- A period of slow economic development, high inflation, and high unemployment is known as stagflation.
- An economic downturn is known as a recession, which is often defined as two consecutive quarters of falling gross domestic product (GDP).
- Stagflation is uncommon but can have disastrous repercussions when it persists for a long time. In the US, it happened from the 1970s to the early 1980s.
- Periodically, recessions happen as part of the usual economic cycles of expansion and contraction. Since 1945, the United States has gone through twelve recessions, with an average length of less than a year.

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WHICH ONE IS WORSE BETWEEN STAGFLATION AND INFLATION?

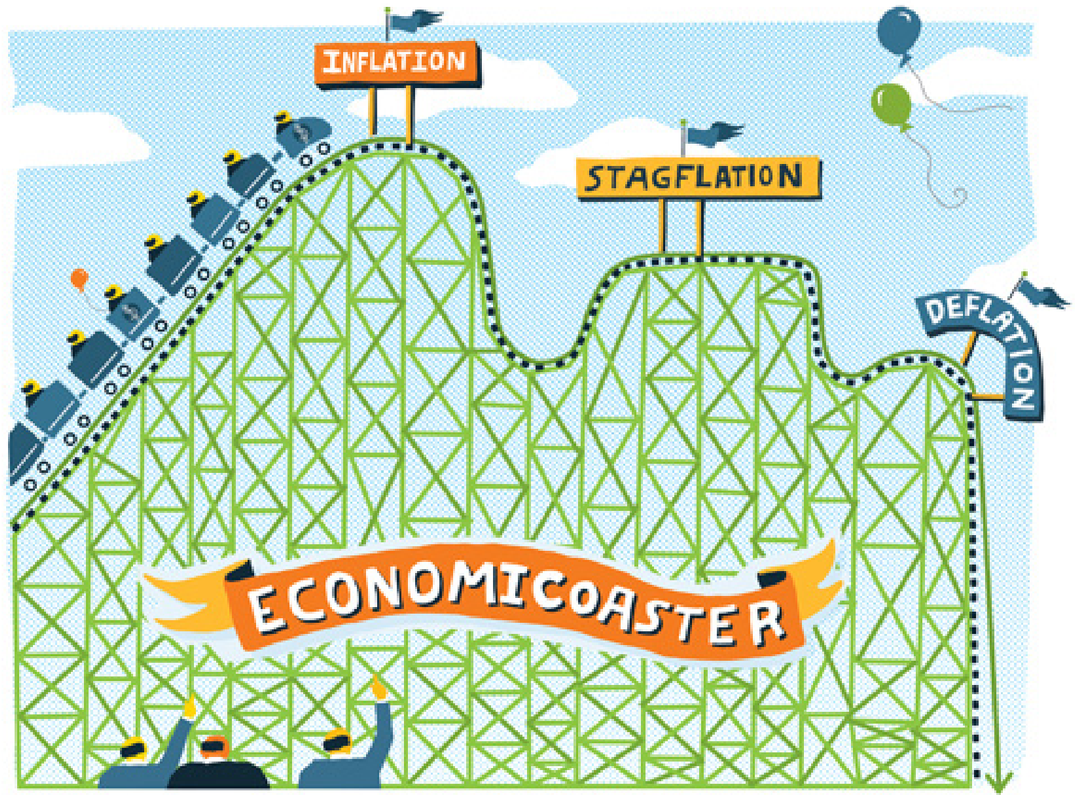


Although stagflation and recession both refer to times of weak economic performance, they differ greatly from one another. For one reason, although stagflation is a rare occurrence of stalled economic development, increasing prices, and high unemployment, recessions are frequent economic contractions that frequently occur before or after growth cycles. Recessions and stagflation often have distinct causes and lengths of time.

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INFLATION VS STAGFLATION: HOW DO THEY DIFFER?

The widespread increase in prices of goods and services throughout the economy is referred to as inflation. To achieve its goals of stable pricing and maximum employment, the Federal Reserve believes that annual inflation should average 2% over the long run. This is because it prevents far more hazardous deflation while promoting economic development. Nevertheless, inflation reduces the value of a currency. For instance, if weekly food expenses are $100 and inflation is 5%, you would need to budget $105 for the same items the next year.



Source: https://www.therobinreport.com/

In general, inflation and economic growth go hand in hand, and one factor that might lead to increased inflation is an overheated economy. On the other hand, inflation often slows down during recessions. The connection makes sense. Price rises are essential to limit labor and other scarce resources and to balance those increased production costs in an economy that is overheating by operating over its long-term potential.

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Meanwhile, when demand slows, a declining economy with plenty of excess capacity restrains price, and wage rises.
A stagnating economy plagued not only by poor growth but also by excessive inflation is referred to as stagflation.
Despite the seeming incongruity of this pairing, it held during the 1970s and early 1980s, when rising unemployment rates and declining purchasing power affected workers in the U.S. and Europe.
The reasons for the stagflation that occurred at that time are still up for debate, as is the chance that it may occur again in 2022 due to high energy and food costs, increasing interest rates, and ongoing supply-chain problems.

- The pace of growth in an economy's total price level of goods and services is known as inflation.
- High unemployment and low growth rates are indicators of both economic stagnation and stagflation, which are defined as both.
- The 1970s stagflation was the worst period for the American economy since the Great Depression.
- Some blame lax fiscal and monetary policies, while others point the finger at austerity measures or sudden increases in the price of oil.

Economic growth is the only distinction between inflation and stagflation. Inflation frequently coexists with economic expansion and occasionally even results from it. Conversely, inflation often slows during recessions. Stagflation is the unusual and perplexing situation of protracted high inflation and a recession.
Many analysts in early 2022 questioned if the United States will experience stagflation once again due to the economy. However, according to the majority of economists, the country's decreased reliance on energy imports in general and the credibility of the Federal Reserve should prevent stagflation similar to that of the 1970s.

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THE COVID-19 RECESSION: FEBRUARY 2020-APRIL 2020

Travel restrictions, the closure of unnecessary enterprises, and the adoption of regulations requiring social segregation on a global scale are just a few of the actions the US and other countries have taken to combat the COVID-19 epidemic, and they are having a devastating economic impact.
The National Bureau of Economic Research (NBER), which issued the formal declaration on June 8th, said that the U.S. economy had begun to collapse in February 2020. The Great Recession, which started in December 2007 and lasted until June 2009, this is the country's first recession.
Approximately 22 million Americans, or 13% of the labor force, are now collecting unemployment benefits. The overall number of jobless people may be almost twice that, according to some estimates. The largest monthly fall in the history of the index occurred in April when retail sales decreased by about 22% every year. The median consensus estimate for second-quarter GDP, kkokoi9ito the Atlanta Fed's GDPNow Survey, is -53.8 percent, which would be the lowest showing in American history.
Only in retrospect will trr5tjkl[[o to determine how long the coronavirus recession lasted. The four prevalent forms of previous recessions and recoveries are V, U, W, and L, where the letters stand for the trajectories of GDP, employment, and other important measures tracking economic circumstances.

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WHAT IS THE SHAPE OF A RECESSION?

“A considerable fall in economic activity spread across the economy, lasting more than a few months, generally apparent in real GDP, real income, employment, industrial output, and wholesale-retail sales,” according to the NBER.
Thankfully, neither a coronavirus recession nor recessions often endure indefinitely. The economy will eventually reopen and resume expanding, though it is unknown how this recovery will pan out.

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HOW BAD THE NEXT RECESSION COULD BE?

Let’s first discuss the issues we are now facing and how severe and long-lasting they may (or may not) be. Although unemployment is high, it is mostly due to the U.S. economy’s actual shutdown. Many employees may keep their current occupations when social distancing rules are relaxed and stay-at-home mandates are repealed, though certainly not all. The closure has had an unequal effect on various industry sectors, with some, like oil and gas, hurting due to a sharp decline in demand while others, like supermarket retail, are thriving as a result of seizing new chances. Let’s not overlook the enormous stimulus packages that were poured into the economy and which, although hurried, have given many employees and companies a bridge to the post-shutdown economy.

In other words, while certainly not the V-shaped rebound many had hoped for, the economy will begin to recover in 2020. Although there are still a lot of unaccounted-for factors, such as consumer attitude, there is a solid reason to think recovery should start quite soon.

The recession that is yet a few years off is the one for which we are not ready. We need to examine one of the most reliable economic indicators over the past few decades to see why: the relationship between the deficit as a percentage of GDP and the unemployment rate. One has followed the other since the 1970s, which makes sense given that the government is prone to ramp up spending when the economy is weak. However, there was a strange occurrence in 2016: the employment rate and deficit diverged. Even though the economy was flourishing and unemployment was at a low level, the deficit was growing.

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In other words, the next time we experience a recession, we won't be able to stimulate the economy. Four years ago, our deficit deviated from historical patterns, and the current stimulus packages' massive spending only made matters worse. Spending during a recession is not only wise, it is also required. But when the deficit is already quite high, it starts to hurt the economy.

This places the United States on a perilous path that might result in a far worse recession in the coming years. While it has been obvious that the government must offer an extraordinary stimulus to prevent an immediate collapse of the economy, there may be serious long-term ramifications if this expenditure is not balanced soon.

Everyone is curious about the potential length and severity of the present economic crisis. But the most pertinent query is: How can we restart the economy while both reducing our deficit and increasing our reserves so that we won't be exposed to a more severe slump when the next recession occurs?

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WHY THIS GLOBAL ECONOMIC CRISIS IS DIFFERENT?

Since World War II, one of the most amazing aspects of the global economic system has been how adaptable governments have been in handling significant crises. The world's leading economies have shown remarkably skilled at working together to find solutions to difficult problems, from stagflation and the breakdown of the Bretton Woods currency framework in the 1970s to the Asian financial crisis in the 1990s to the global financial crisis this century.

This time, that string of good fortune may end. The current confluence of issues—the war in Russia and Ukraine, inflation, global food and energy shortages, the deflating of asset bubbles in the US, debt crises in developing nations, and the lingering effects of supply chain bottlenecks and shutdowns caused by COVID-19—may be the most serious crisis of them all, in part because central banks cannot print wheat and gasoline. However, there aren't many indications that society will come together to make the necessary remedies to these problems. The need for international collaboration has never been greater—or more improbable.

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These projects are all very inventive, but none of them come close to meeting the current exigency. The world's top governments have previously been able to put aside enough of their differences to develop effective solutions to emergencies. That is not there at all this time. The most troubling and long-lasting consequence of the current constellation of overlapping problems may be this breakdown in collaboration. The interruptions haven't yet severely hurt international trade as a whole: In 2021, trade values reached a record high. However, they are slowing this year and major disruptions have been seen in the agricultural and energy sectors. The belief that, despite their differences, the world's main economies are unified on the significance of economic development and stability and can cooperate to the maximum degree feasible to accomplish those goals has been severely shaken by the present crisis. No one is in charge of navigating the ship this time.

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IS THERE A GOOD INFLATION?

It gets problematic when inflation rises beyond 2%. Walking inflation is defined as an annual increase in prices of between 3% and 10%. It could promote excessive economic expansion. At that point, inflation robs you of the money you worked so hard to achieve. Daily purchases have higher prices than daily incomes. Walking inflation has caused today's prices to increase from $1 in 1913 to $24 now.

Inflation that galloped took place in the 1980s. It led President Ronald Reagan to famously remark that inflation is "as lethal as a hit man," "as violent as a mugger," and "as terrifying as an armed robber." 2 For the inflation to slow, double-digit interest rates and a recession were required. Thankfully, it didn't come back after that.

The majority of central banks choose an inflation goal in the range of 2 to 2.5 percent. The 2 percent objective set by the Bank of England for the CPI metric is pretty standard. In recessionary times, some economists contend, a greater aim, such as 3 percent, should be set. Setting a low interest rate for longer period can encourage stronger growth.

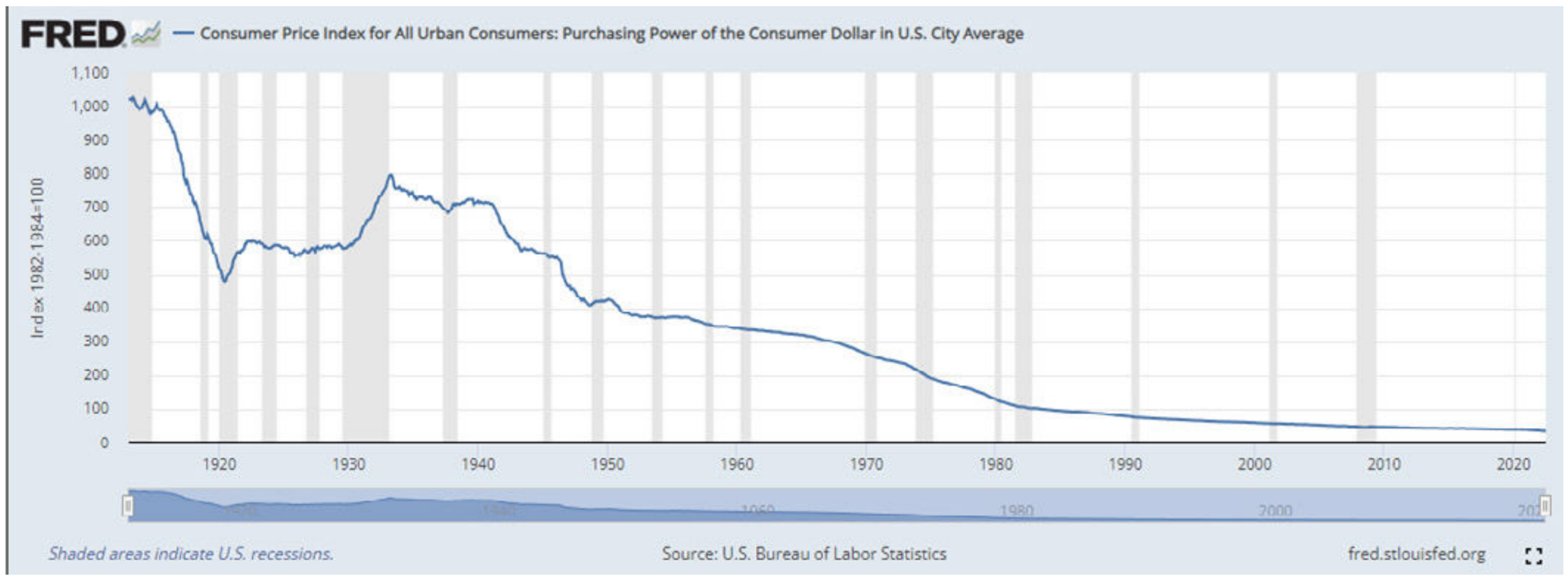
But most do believe that a little amount of inflation is necessary, regardless of the specific magnitude. Essential. The most crucial thing to keep in mind is that inflation is not a supernatural occurrence, a natural disaster, or a sickness that spreads like the plague. A policy is an inflation.

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WHO IS HURT MOST BY INFLATION?

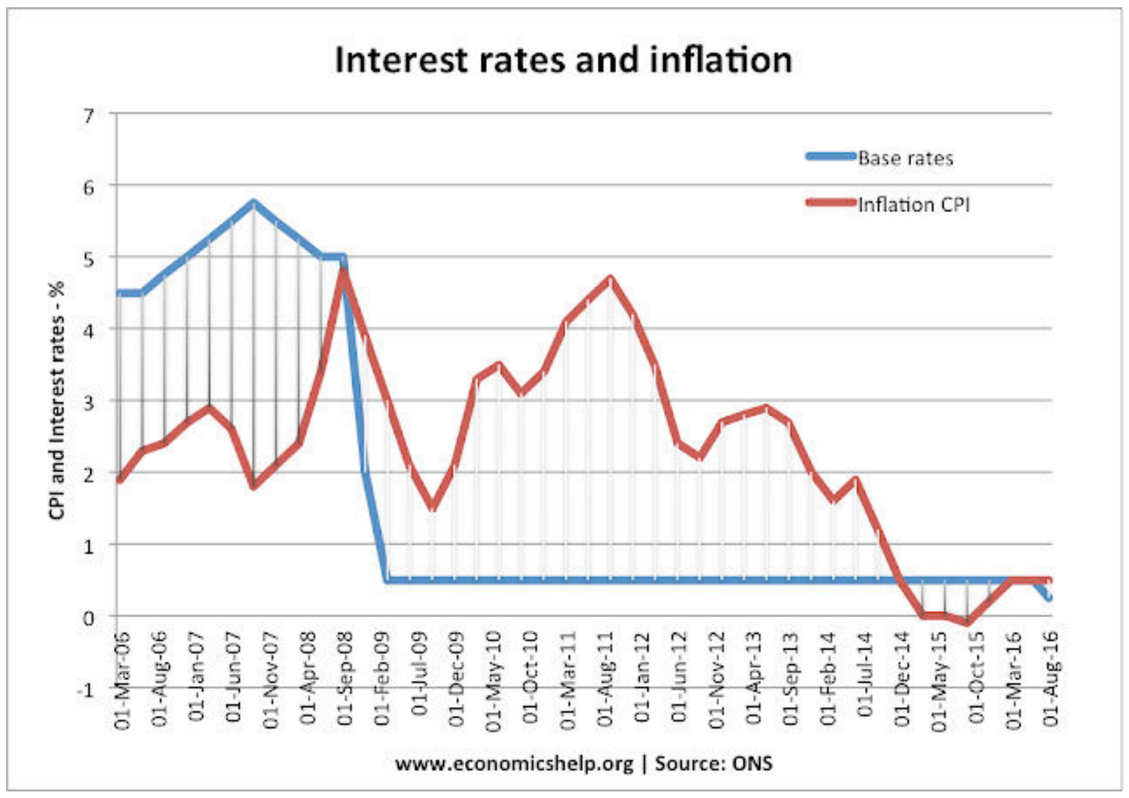
SAVERS!!!

Historically, inflation is a loss for savers. When prices increase, money loses purchasing power, which reduces the real value of savings. People who had tried to make savings, for instance, would see the value of their savings destroyed during periods of hyperinflation since, due to increasing prices – They will essentially record a loss.



This demonstrates the US dollar's purchasing power. The worth of a dollar decreases during times of increased inflation (1945–1946 and the middle of the 1970s). One dollar's worth decreased by 85%, from 700 to 100, between 1940 and 1982. If savers can earn an interest rate that is higher than the rate of inflation, they will be safeguarded against inflation. People who save in banks will nevertheless experience a noticeable increase in the value of their funds, for instance, if inflation is 5% but banks are offering a 7% interest rate.

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If we experience both high inflation and low-interest rates, savers are significantly more likely to suffer financial losses. For instance, at the inception of the 2008 credit crisis, interest rates were lowered to 0.5 percent but inflation increased to 5 percent (owing to cost-push forces). As a result, savers suffered at this time.

BORROWERS WITH ADJUSTABLE-RATE MORTGAGES

The government or central bank may raise interest rates in response to an increase in inflation. A higher borrowing rate will result from this. As a result, homeowners with variable mortgage rates may experience considerable increases in their monthly mortgage payments.

The UK enjoyed an economic boom in the late 1980s. Economic growth was strong, but inflation rose to about 10%; as a result of the economy's overheating, the government raised interest rates. Mortgage expenses increased quickly at this time, which was widely unanticipated. A lot of homeowners discovered that they couldn't afford increased mortgage payments and stopped making them.

Mortgage payments increased as a result of the 1980s' high inflation, which also led to many people losing their homes. However, higher interest rates are not always a result of rising inflation. Cost-push inflation followed the 2008 recession, but the Bank of England didn't hike interest rates (they felt inflation would be temporary). As a result, mortgage holders noticed a decrease in their variable rates and a decrease in the proportion of income required to service their mortgages.

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WHO BENEFITS FROM INFLATION?

BUSINESS/HOUSEHOLD WITH HIGH DEBT

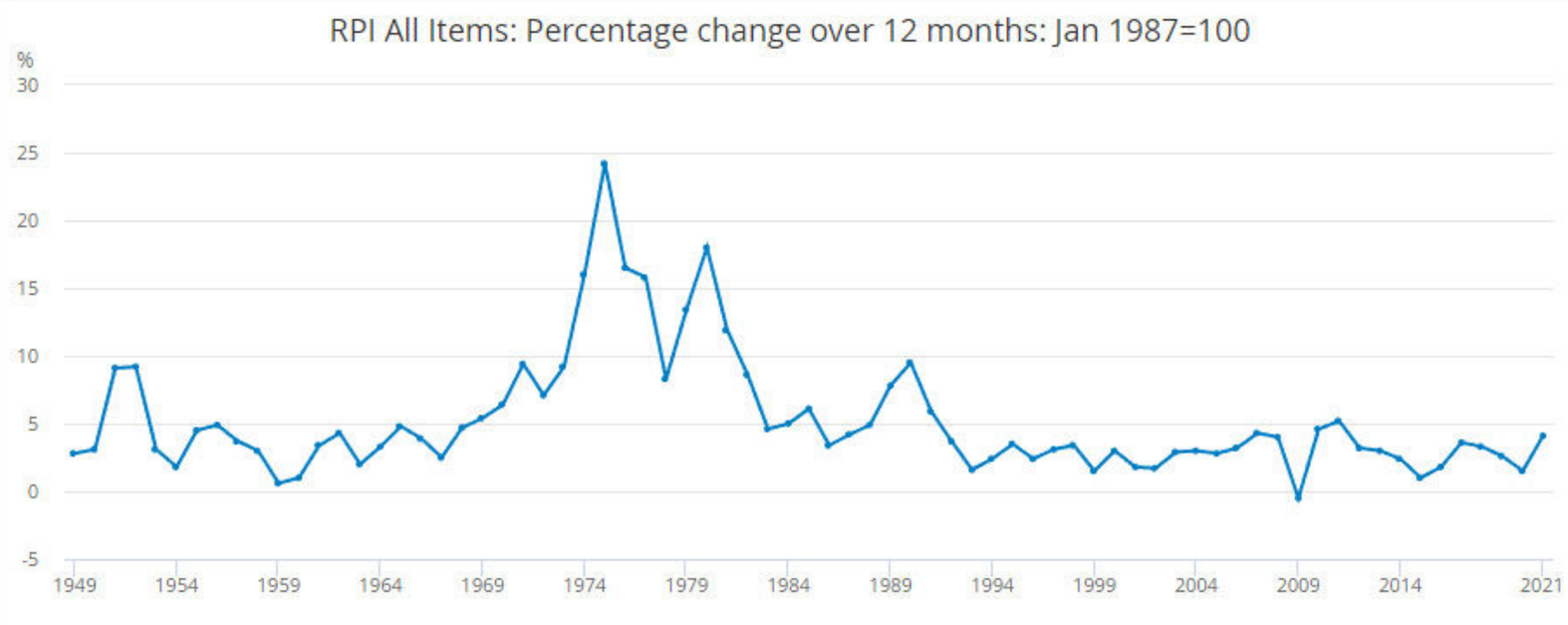
High inflation rates may make it simpler to repay outstanding debt. Businesses will be free to raise prices to customers and use the extra money to settle debts that still need to be paid. However, if a bank borrowed money from a bank at a variable mortgage rate. The cost of repaying the debt will grow if inflation increases and interest rates are raised by the bank.

GOVERNMENTS WITH DEBT

When inflation exceeds expectations, it might make it simpler for the government to lower the real value of its debt (measured as a percentage of GDP). For instance, in the 1960s, markets anticipated little inflation, allowing the government to issue bonds at cheap interest rates. But in the 1970s, inflation exceeded expectations and was higher than the yield on a government bond. Owners of the bonds, therefore, witnessed a decline in the actual value of their bond, while the government experienced a decline in the real value of its debt.

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Chart



Unexpected inflation in the 1970s (caused by the shock of the oil price) assisted in lowering the level of public debt in several nations, including the US.
Although the total amount of government debt increased nominally between 1945 and 1991, economic expansion and inflation made it possible for this ratio to decline.

OWNERS OF REAL ESTATE AND TANGIBLE ASSETS

Fund holders may see a sharp decline in the real value of their savings during a period of hyperinflation. Owners of tangible things, however, frequently have protection. Land, industries, and other tangible assets will continue to be valuable.
Assets like gold and silver are frequently in higher demand during times of hyperinflation. Because gold cannot be printed, it cannot be subject to the same inflationary forces as paper money.
However, it is imperative to constatntly keep in mind that purchasing gold does not ensure that its real value would rise during a time of inflation. This is due to the possibility that speculative pressures may potentially affect gold’s price. As an illustration, the price of gold rose sharply in 1980 before dropping later.
Holding gold is a strategy to secure genuine wealth, unlike money, during times of hyperinflation.

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CPI INFLATION CALCULATOR EXPLAINED

To start with, it is imperative that we know the cost at which each good was purchased each year and what the prices were:

		Hamburger	Jeans	Movie Ticket
1996	Price	$0.70	$20	$3.5
1996	Quantity	50	2	4

Then find total expenditure by multiplying price time's quantity and adding them:

Expenditure = (.70 x 50) + (20 x 2) + (3.5 x 4) = $89

$35 + $40 + $14 = $89

10 years later, we have new prices:

		Hamburger	Jeans	Movie Ticket
2006	Price	$2.0	$35	$6.0
2006	Quantity	50	2	4

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Assume that the only change that occurred between 1996 and 2006 was a fluctuation in prices, and that the market basket, which is the total amount purchased, remained the same.

How much does the exact identical market basket cost right now, in the year 2006? Calculate using the quantities from 2006 and the prices from 1996.

Expenditure = (2.0 x 50) + (35 x 2) + (6 x 4) = $194
$100 + $70 + $24 = $194

To calculate the Consumer Price Index (CPI) for any given year, just divide the cost of the market basket in that year by the cost of the same market basket in the base year.

The CPI in 1996 = $89/$89 x 100 = 100 The Consumer Price Index (CPI) is nothing more than an index number, and in this case, that value is indexed to 100 in the base year of 1996.

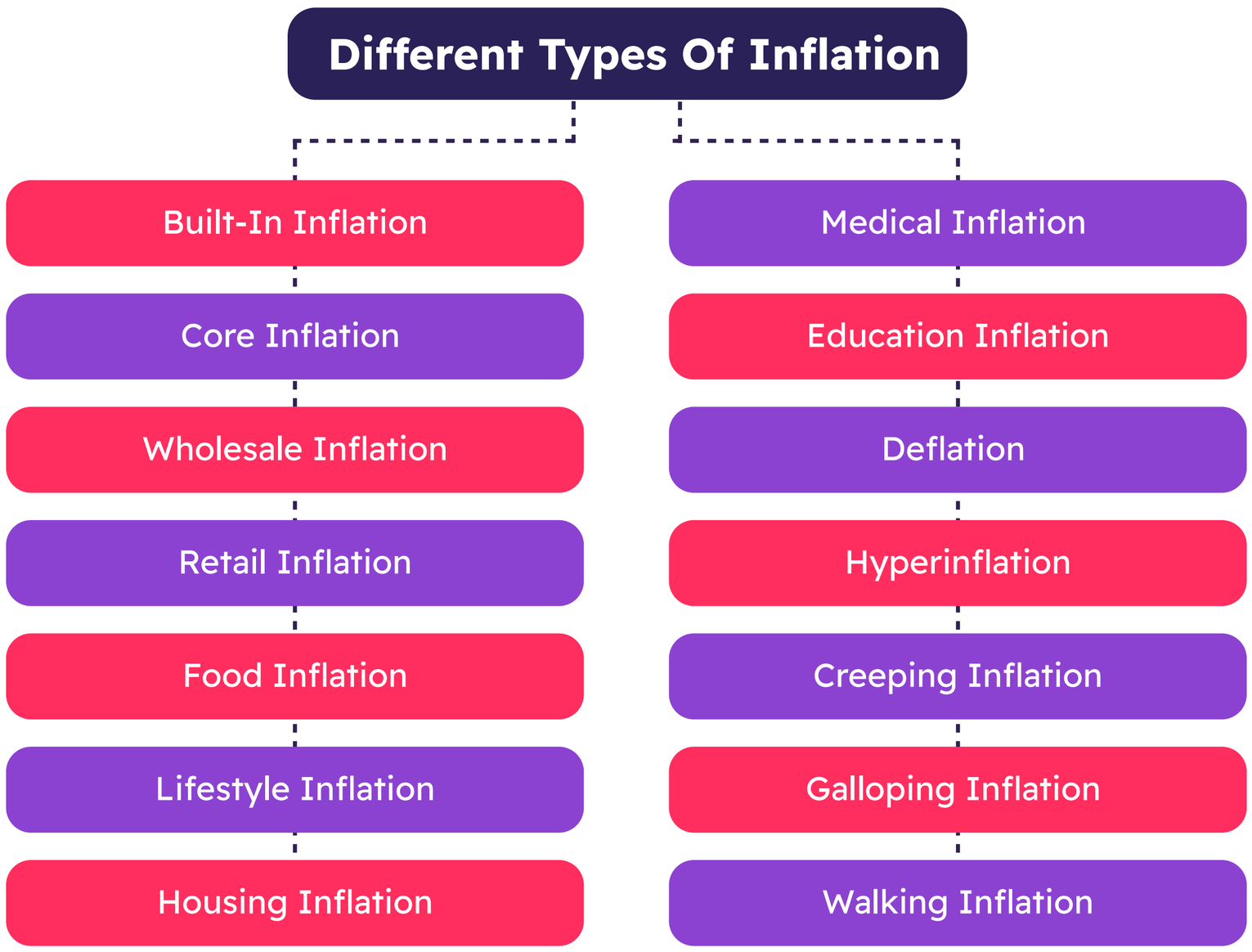
To calculate the Consumer Price Index for 2006, first determine the cost of the market basket in 2004 and then compare that amount to the cost of the same basket in 1996:
CPI in 2006 = $194/$89 x 100 = 217.9

We are now able to compute the rate of inflation that occurred between the years 1996 and 2006:
(217.9 – 100) /100 = 117.9/100 = 117.9%

Consequently, there has been a 117.9 percent increase in price over the course of those ten years. If the time period in question was 1996 to 1999, then we could claim that the rate of inflation in 1999 was 117.9 percent.

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DIFFERENT TYPES OF INFLATION



Following are the many sorts of inflations: based on the inflation-causing factors

Built-In Inflation
This sort of inflation takes place when anticipated future inflations occur. Price increases lead to greater earnings so that consumers can pay for the rising cost of living. High salaries, therefore, lead to higher manufacturing costs, which affect product pricing. So, the circle keeps turning. Based on the industry or sector.

Core Inflation
It is the increase in costs across the board, except for food and energy. This is because food and energy costs are quite volatile and have thus been excluded from measuring core inflation.

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Wholesale Inflation
Based on wholesale prices, inflation is referred to as headline inflation. It enables the government to anticipate the price increase.

Retail Inflation
Based on changes in the Consumer Price Index, it is determined (CPI). It quantifies the effects of price increases and, as a result, is crucial to financial planning for the typical investor.

Food Inflation
It is a part of headline/wholesale inflation and is quite variable. A spike in food prices in a developed society is only an inconvenience for the people. However, when food costs increase in underdeveloped countries, it may mean going without food or only having enough to eat.

Lifestyle Inflation
This occurs when an individual's lifestyle steadily improves with an increase in income, leading to the purchase of a nicer automobile, name-brand clothing, and a larger home.

Housing Inflation
Another division of headline inflation is this kind of inflation. In this sort of inflation, the cost of a home is multiplied by the inflation rate to determine the price increase.

Medical Inflation
This sort of inflation is a rise in the typical or per-unit cost of healthcare services over a specified historical period.

Education Inflation
Education inflation, a separate component of overall inflation, only tracks increases in textbook and stationery prices. Based on the inflation rate.

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Deflation
Inflation is opposed by it. It occurs when prices fall and are brought on by the burst of the asset bubble. Consider the 2007 housing market collapse as one example. Deflation is difficult to halt.

Hyperinflation
When prices increase by 50% per month, this happens. It happens extremely infrequently.

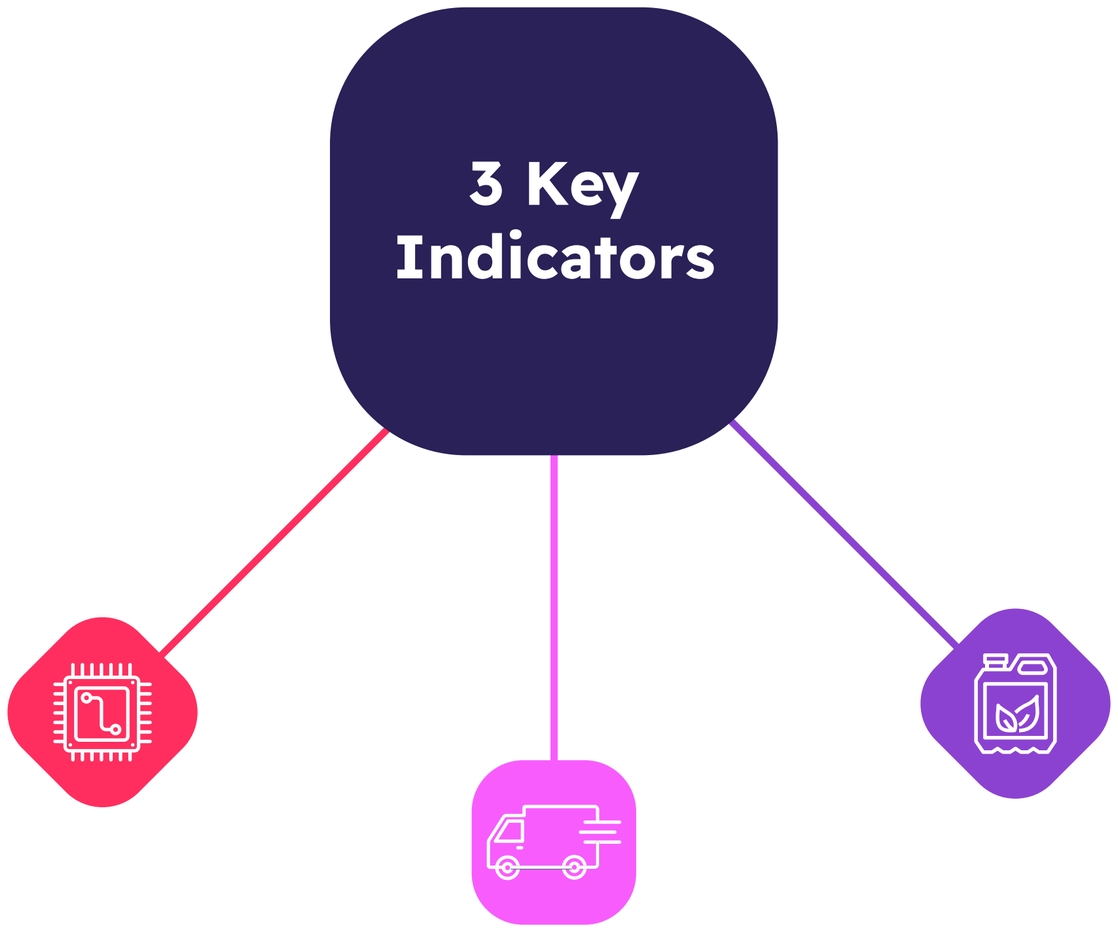
Galloping Inflation
When inflation reaches 10% or above, chaos occurs. Because of how rapidly the currency depreciates, businesses and employee income cannot keep up with rising costs and prices.

Walking Inflation
Walking inflation is defined as an annual inflation rate of 3 to 10 percent. Because it encourages individuals to buy more than they need to avoid tomorrow's increased costs, it is harmful to the economy.

Creeping Inflation
Prices rising by no more than 3% annually are referred to as mild or creeping inflation. It is well recognized that price increases of 2% or less help the economy. This type of moderate inflation stimulates demand by leading customers to anticipate rising costs. As a result, demand is generated, fueling economic growth.

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3 KEY INDICATORS SHOW INFLATION IS POISED TO EASE



Chips

As the shortage of semiconductor chips in several industries eases, chip prices are decreasing.

Despite China's lockdowns, semiconductor shortages in the smartphone and personal computer industries are likely to significantly ease in the second half of 2022, according to Counterpoint Research's most recent smartphone Component Tracker Report, which shows that demand-supply gaps are narrowing across most components.

The scarcity of semiconductor chips is reportedly finally coming to an end, according to the auto industry. After months of incapacitating outages, Mercedes-Benz, Daimler, and BMW have all stated that they can get the high-tech components to produce at full capacity.

We're still keeping an eye on it weekly, but according to Bloomberg, we haven't had any problems operating the production chain globally up until now. Although "here and there" are still supply problems, they are nothing compared to the previous year.

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Shipping

Since September 2021, the Drewry Shipments Index has seen a slight monthly decline in shipping. The World Container Index from Drewry decreased by 0.1 percent last week to $7,625.56 for a 40-foot container. It is a significant drop from the $10,400 costs recorded in September 2021, even if they are still 18% higher than the same week in 2021.

The price tracker stated in its most recent bulletin on June 2 that the index will gradually decline over the next weeks.

Fertilizer

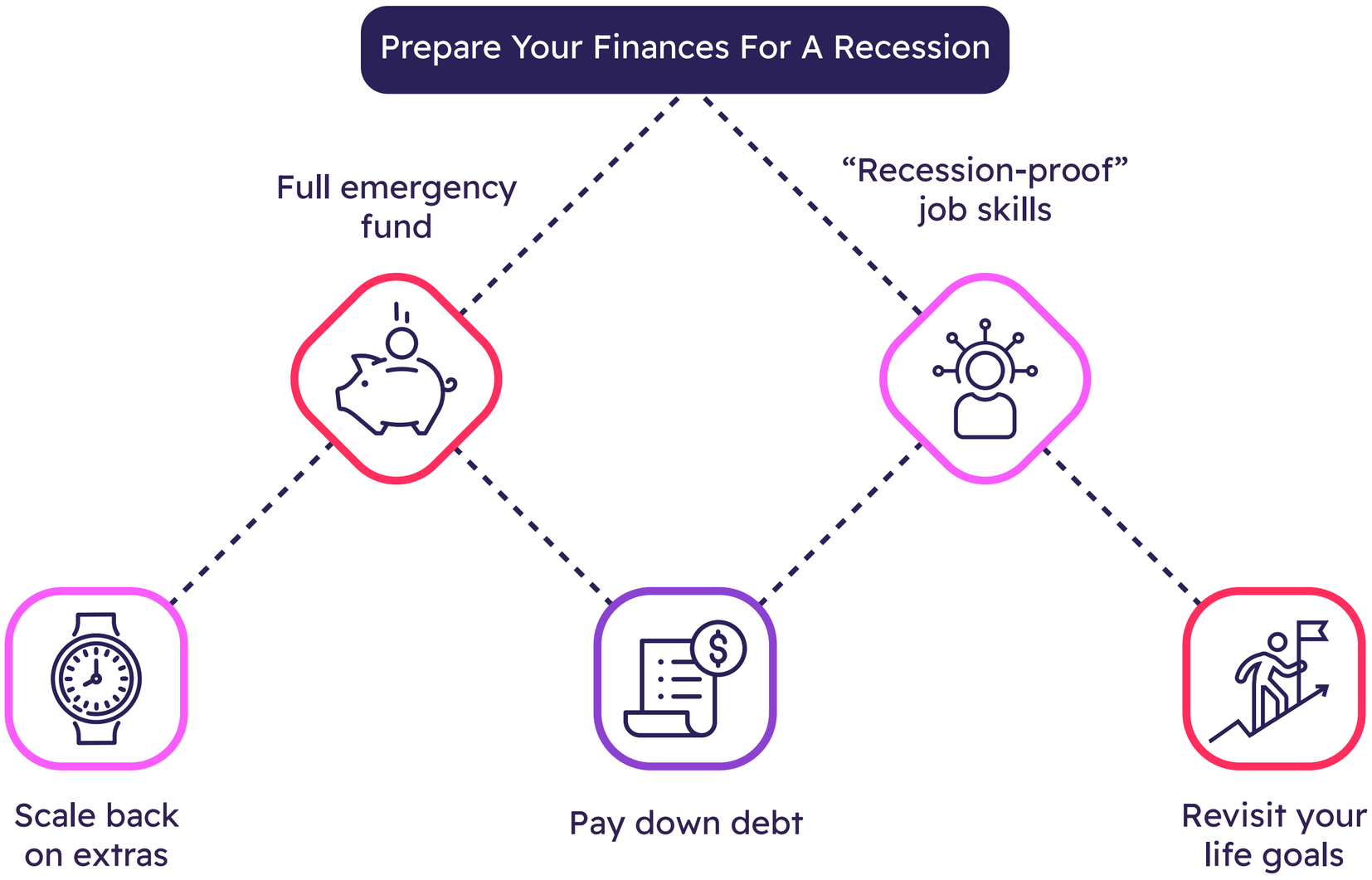
Last but not least, as consumers panic about the skyrocketing prices, fertilizer prices have dropped as demand has collapsed. According to Green Markets, Bloomberg's fertilizer price tracking firm, the nitrogen fertilizer ammonia's June spot price in Tampa was $1,000 per metric ton, a 30% decrease from May's $1,425 per metric ton.

The North American fertilizer price index from Green Markets reveals that prices have decreased from $1,269 in early April to $885 this week. The cost of fertilizer affects the cost of the world's food supply, which increased by around 80% in April compared to the same month two years prior, per the Food Commodity Price Index of the World Bank.

Even while certain regions of the world have not yet reached their highest levels of inflation, there are at least some indications that the annual inflation rate tipping point may not be too far away.

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5 WAYS TO PREPARE YOUR FINANCES FOR A RECESSION?



Scale back on extras now

The adage “the higher you get, the farther you have to fall” may have caught your attention. That saying may also be applied to your manner of life during a recession. If you’re used to making extravagant purchases daily, a recession can strike your finances more severely.

Reduce frills now rather than waiting for an economic catastrophe to justify doing so. Do you belong to a gym that you seldom ever visit? To save $50 a month, you might be able to lower the tier of your clothes subscription. Find methods to cut spending on these non-essentials, if you can, or eliminate them from your budget. This makes more money available to plan for a recession.

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Build a full emergency fund

Your ability to manage your money during a recession depends greatly on how much cash you've set up previously. The longer time you give yourself to actively build up an emergency fund, the more protection you'll have in your finances should recession-related job insecurity arise. Increase your emergency funds to 8 months or more if you believe the economy is about to enter a recession and you want to be extra secure. You can survive an economic slump if you have enough money saved up to cover your bills for eight months. If you work for yourself or operate a business, think about increasing your emergency reserves so you can survive a year of a recession.

Start by creating a high-yield savings account, which offers slightly better rates than standard savings account while still keeping your deposits liquid in case you need to make a rapid withdrawal of money.

Pay down debt

A debt roadblock is the last thing you need to worry about during a recession. Check on your debt, including loans and credit cards, in addition to attempting to increase your emergency fund.

Try using a two-pronged strategy by simultaneously depositing money into your savings account and making extra monthly payments to reduce your debt loads. Even while paying off high-interest debt initially can save you money in the long term, paying off lesser obligations completely before the recession might be a wise choice.

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Acquire “recession-proof” job skills

High unemployment and job loss can be frequent effects of a severe recession. Although finding a recession-proof job can seem like finding a unicorn, you can be ready by seizing opportunities now that will give you a competitive advantage. To assist you to remain employable during a recession, think about researching that additional qualification, specialized training, or acquiring a new talent that you have been considering.

If you experience a difficult job loss, you will at least position yourself to be a top contender elsewhere. If you want to take up a side job while looking for a long-term position, adding more experience to your CV may also be beneficial.

Revisit your life goals

Your life objectives are a crucial aspect of your preparation for a recession that you shouldn’t ignore. This comprises both short-term objectives for the next year or two and long-term objectives for the next ten years and beyond.

Making rash financial decisions is usual when an impending economic catastrophe is present. The recommendation to liquidate investments or redistribute assets, for instance, may be eagerly embraced by some. Don’t let the fear cause you to lose sight of the greater picture.

Instead, reevaluate what your present life goals are. When do you want to have a family or purchase a house? What timeframe do you want to retire? When do you require this money?

Depending on your risk tolerance and the length of your life goals, you might want to choose a more conservative asset allocation. The wisest course of action is to avoid glancing at your statements, watching CNBC, and taking hasty actions like selling at the wrong moment if your life goals are more than five years away.

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6 MISTAKES TO AVOID DURING A RECESSION

Don’t Assume Your Job Is Invulnerable

Even if your job hasn’t experienced a downturn in recent years or your company has an excellent track record of keeping employees, it is still a good idea to be mindful of the value of your job when times are rough. Maintain at all times the availability of a fallback plan in the event that something goes wrong. You should always maintain your skills and resume up to date, and you should also plan ahead for what you would do if you were to lose your job. This will prepare you for the worst-case situation.

Don’t Forget To Keep Your Resume Updated

It is not difficult to settle in when things are working out in a good way and neglect to keep your portfolio and resume up-to-date when you ought to do as such. Yet, in the event that you lose your employment suddenly, you’ll require it straight rapidly, so ensure it’s dependably exceptional and exhibits a portion of your best work.

Don’t Forget To Network

If you pay attention, you can usually recognize the signs of an economic downturn, which means that you will undoubtedly become aware of a few early warnings of approaching turmoil. At these times, networking—which is always beneficial to a career—is much more crucial if it appears like your job is in danger. Even though it is more challenging to network during a pandemic, many conferences, meetings, and organizations are now taking place remotely so that participants may stay in contact.

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Don’t Wait To Start Looking For Work

Don’t hesitate to start looking for new employment if you notice signs that a slump is approaching. Millions of other people may be having the same thoughts as you and may take advantage of exciting new career opportunities before you. Checking out fresh employment leads is harmless; you are not obligated to take one unless you discover a suitable fit.

Don’t Ignore Job Trends

Economic downturns have a diverse impact on various industries. Since the outbreak, those who have been able to quickly adjust to a digital technique have fared better. When it comes to being unaware of industry trends, ignorance is not bliss.

To better grasp what is influencing prospective changes and to keep your toe in the water of positions that could be suited for you, keep up with both industry and job trends.

Don’t Expect a Grace Period on Bills

The American government put a temporary stop to evictions during the pandemic, and many businesses provided temporary payment deferral programs. Although many people in need have benefited from this, these grace periods are not likely to persist indefinitely. Expecting to rely on postponed bills for an extended period can only result in an unwanted and significant expense to pay later. If you’re jobless, strive to pay as much as you can and keep looking for jobs.

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CAN YOU PROTECT YOUR 401K DURING A RECESSION?

Stay Calm:
Because we are emotional beings, humans may not always react to stress. When our brain experiences an “amygdala hijack,” the fight-or-flight response kicks in, leading to illogical behavior. If there is a slump, be aware of your feelings and hold off on taking any severe action, like selling everything or withdrawing your investments, until you are more composed. You might be able to gather yourself with a brief phone call to a dependable advisor.

Diversify:
One of the asset groups that ought to be included in your total portfolio is the stock market. These different asset types, such as fixed income, and real estate will be less connected with the stock market and will thus assist to mitigate any losses. For instance, bonds had a good year in 2008 despite the stock market losing 36% of its value. A quick and easy strategy to lessen severe downturns is to diversify your portfolio.

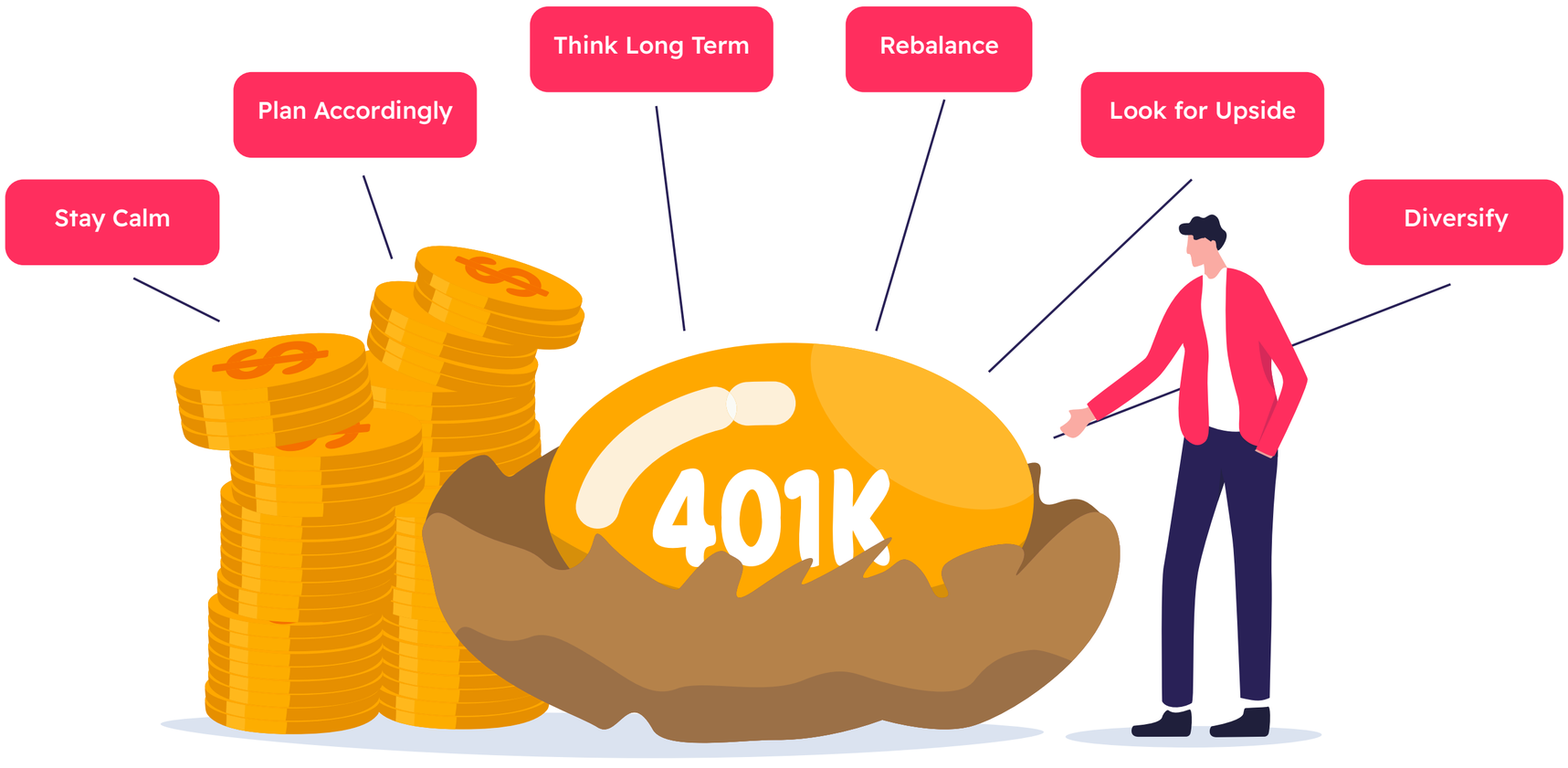
Plan Accordingly:
There is nothing wrong with accumulating the cash now so that you have it available if you anticipate making a significant expenditure shortly, such as for a vacation or home remodeling. It’s conceivable that you may lose out on some market gains, but it’s preferable to having to sell when prices are at an all-time low. Additionally, selling at the bottom prevents you from taking part as much in any comeback.

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Think Long Term:
The tendency is good when you look at historical stock market performance over a significant amount of time. Market returns are between 8 and 10 percent on average. There will, however, be years when the average is negative. It is also crucial to emphasize how hard it is to time the market. In addition to knowing when to sell, you would also need to know when to reinvest. This is a foolish endeavor, and sticking with your investment would probably be better for you.

Rebalance:
Some asset classes will perform better in a diverse portfolio than others. It's the ideal time to rebalance when one climbs and another decrease, cutting the winners and purchasing the losers at a now lower price. The most tax-effective way to achieve this may be ensured with the assistance of an advisor.

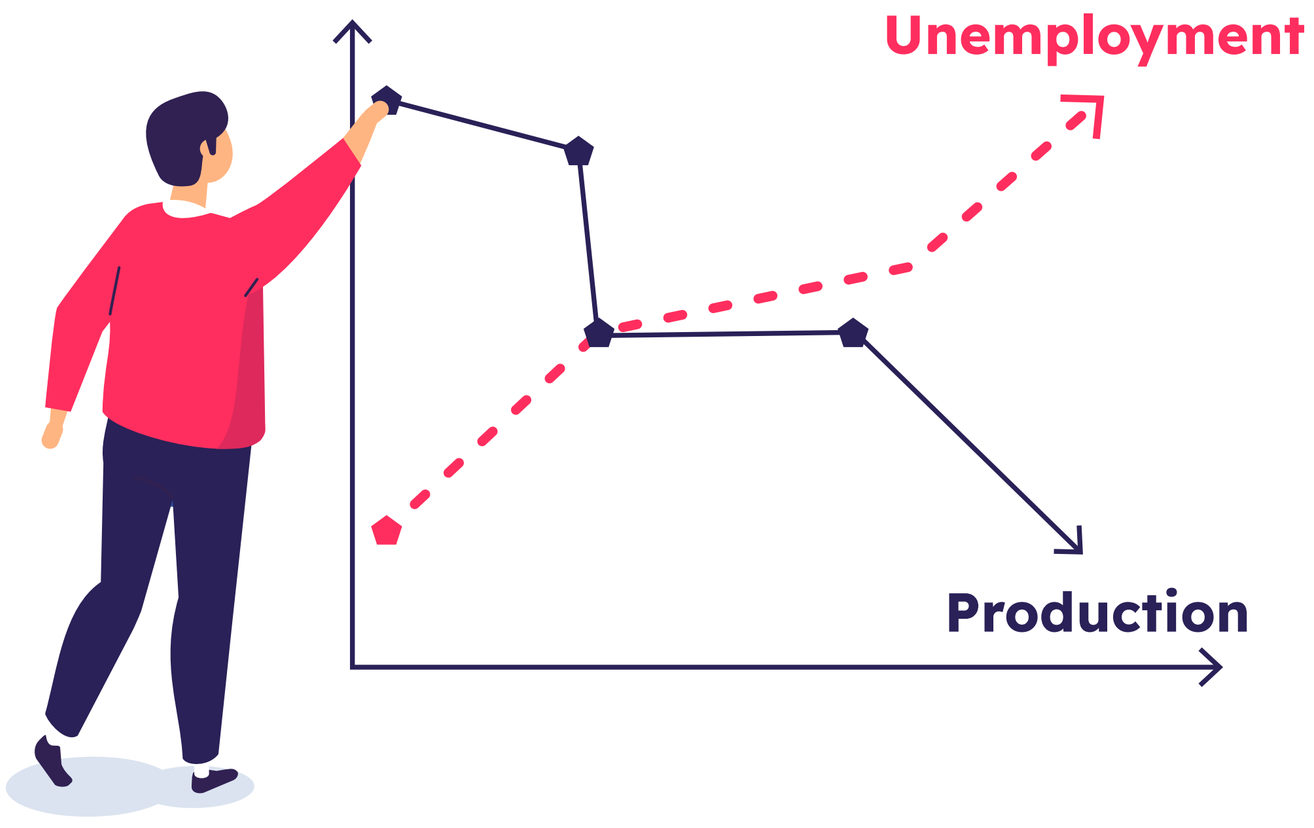
Look for Upside:
Continue making contributions to your retirement plan if you are still employed. You will engage in "buying the dip," or purchasing stocks at a bargain when they are "on sale." Realizing losses if you have a taxable account may assist offset other tax responsibilities and may even be carried over to future years. Additionally, if you have a traditional IRA, think about converting it to a Roth; however, you will pay taxes on the conversion at a reduced value.
There will inevitably be stock market crashes, and nobody can predict when the next one will occur. But if you prepare for them, there is nothing to be afraid of. Working with a financial advisor can provide you piece of mind so that your objectives will still be met even if another crisis arises.



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WHY DOES UNEMPLOYMENT RISE DURING A RECESSION?

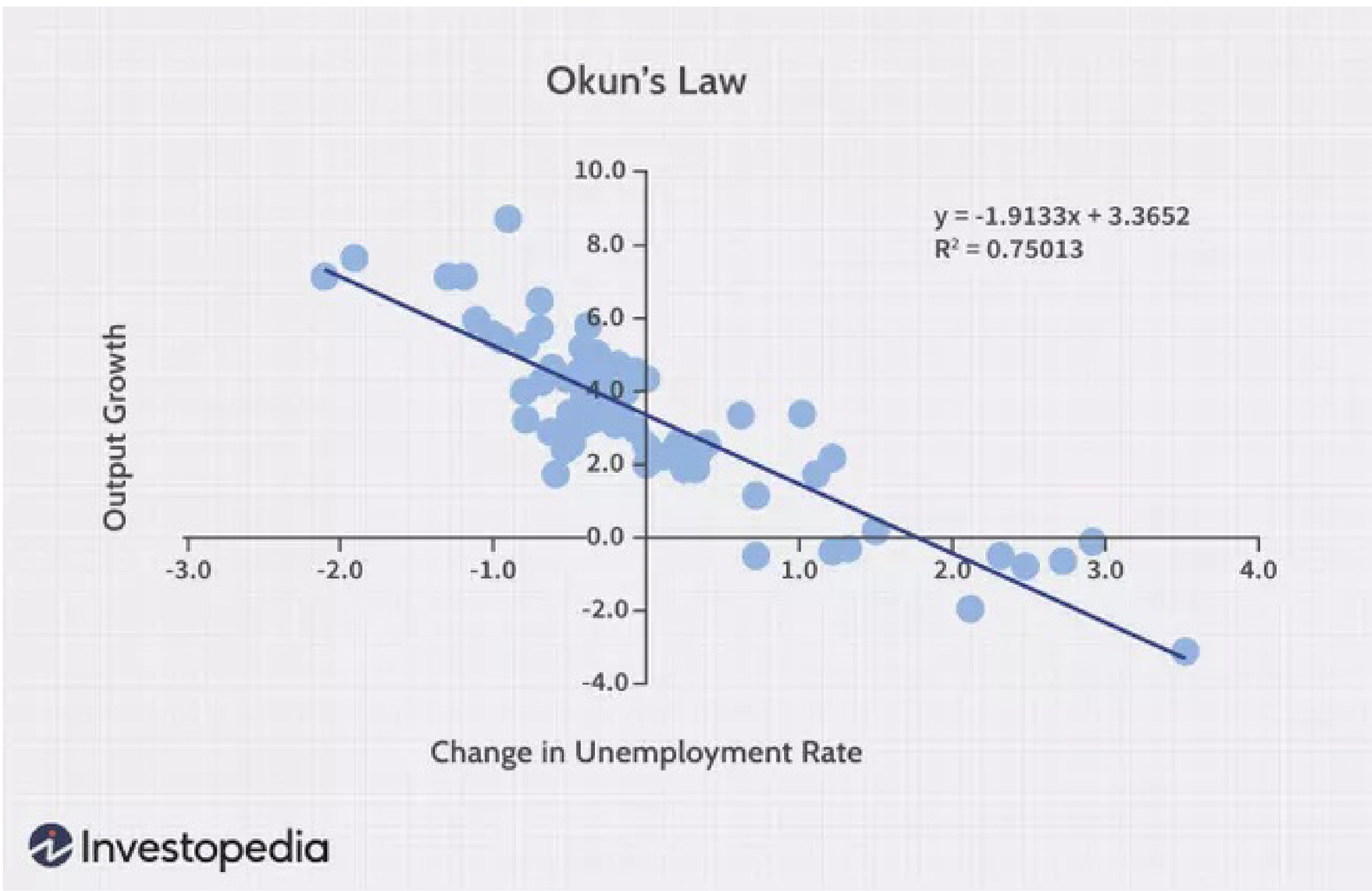
Unemployment must incease when production decreases as a recession signifies a loss in economic activity and labor is a crucial economic input alongside capital.



After the economist who first recorded it, Arthur Okun, the direct causal link between employment and output growth has been sufficiently persistent to enter the canon of economics as Okun’s Law. According to a similar generalization, for the unemployment rate to drop by one percentage point annually, the economy must expand by two percentage points more than its potential growth rate. The amount of output that an economy would have created if its capital and labor were used at their highest sustainable pace is measured by potential GDP. The size of the workforce, the rate of productivity growth, and capital investment all affect potential GDP. Different modeling techniques frequently result in diverse estimates because potential GDP is a theoretical concept that is not easily quantifiable.

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Okun's Law is a helpful explanation of the connection between employment and economic growth, but it is only relevant to policymakers to the extent that it is not difficult to estimate potential GDP and the natural rate of unemployment (unemployment not due to cyclical demand swings). Because job losses reduce demand, layoffs often snowball, spreading the spread of unemployment.



Source: https://www.investopedia.com/

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THE BIG RISKS OF BUYING A HOUSE DURING A RECESSION

The term “recession” alone is enough to send shivers down the spines of prospective homebuyers and nearly everyone else. After all, the real estate sector suffered greatly during the most recent crisis in 2008. The market, in general, descended into disarray as sales fell and properties went into default.

However, if you’re smart enough, purchasing a property during a recession might result in a wonderful price! How strongly the economy is correlated with property values was demonstrated by the 2008 recession and housing market collapse.

If you were considering purchasing a property, you could have another issue while the majority of customers are concerned about how long each upswing and recession will endure and how severe it will get. Should I take a chance and try to purchase in a recession?

In general, you’ll receive a better deal if you purchase a home during a recession. In general, more properties become available on the market and housing values decline as the number of foreclosures or owners who must sell to survive rises.

However, each buyer will be in a special position for a significant financial problem because this recession is unlike any other. For instance, if you work in the hotel industry, your present financial condition is very different from that of someone who was able to transition to working from home without any difficulty.

The decision to buy a home during a recession is one that only you and your family can make.

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HOW LONG COULD THE NEXT RECESSION LAST?

Although several were longer and one was shorter, a post-World War II recession typically lasts between 6 and 12 months.

The most recent economic downturn, which occurred in the year 2020, lasted for a scant two months. The longest downturn since 1948, the recession lasted from December 2007 to June 2009.

We believe that there are likely high possibilities for a speedy rebound once the consumer exits the next recession. Just like the post-financial crisis era, the atmosphere now is entirely different.

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HOW CAN A FINANCIAL CRISIS BE AVOIDED?

Personal debt
Debt is the first financial disaster that has to be addressed since it frequently contributes to or exacerbates the other problems on this list. Here are some strategic action to help you keep from accruing personal debt that would be impossible to repay:

Make a budget and stick to it.
Stay within your means. Avoid purchasing a house or car that is just barely within your limits. Give yourself some discretion instead when you borrow money for expensive products.
Use your credit card responsibly. One of the deadliest and fastest ways to ruin your money is to rack up credit card debt. While using a credit card may occasionally be essential, it should only be a last resort. Avoid using credit cards to pay for entertainment and trips. If you must use a credit card, make an effort to pay the entire balance in full each month to avoid interest fees.

Make saving money a priority in your budget.
It benefits in two ways. First of all, spending less than you earn is good. Second, instead of taking out a loan to cover unforeseen needs, you can draw from your savings.
Create enough emergency funds. You only utilize this particular form of savings for emergencies, such as a time of unemployment or unanticipated medical costs.

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Medical debt

Medical debt is under a different category than personal debt since it frequently builds up without the debtor's fault.

Even if you have health insurance, you can end yourself with a sizable medical bill. 80 percent of the cost of surgeries and treatments is frequently covered by medical insurance. You are now responsible for the remaining 20%. Therefore, if you have a condition that requires $100,000 in medical care, your insurance provider will cover $80,000 of that cost, leaving you with a $20,000 deficit.

By incorporating extra insurance coverage, you may be able to avoid medical debt. You might wish to take into account, in addition to health insurance:

- When a covered sickness is discovered, critical illness insurance provides a lump sum benefit.
- The costs of hospital admission that may not be covered by other insurance can be reduced with the aid of hospital indemnity insurance. It usually makes a lump sum payment to you directly, as opposed to a hospital or healthcare facility. That implies that you are free to utilize the benefit in any way you see appropriate, even to pay for care costs or unrelated expenses.
- Using a health savings account (HSA), a type of tax preferred savings account, consumers may set away money tax-free for medical costs including routine doctor visits, dental work, and vision care. It can only be used in combination with a health insurance plan with a high deductible.

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Bankruptcy

Many individuals believe that declaring bankruptcy is the best option when debt gets unmanageable.

But if at all possible, try to avoid bankruptcy. After declaring bankruptcy, it will be more expensive and challenging to receive loans, and it will have a negative impact on your credit score.

Try these techniques to prevent bankruptcy before filing:

- Reduce your spending to the absolute minimum and use the money you save to pay off debt.
- Consult creditors about a deal. Businesses that you owe money to don’t want you to declare bankruptcy since it can make it harder for them to be paid. They could be ready to cut your interest rate or lengthen your payment period to make the debt more affordable if you explain your position.
- Hire a debt-management company. This kind of nonprofit assistance might help you better your finances by negotiating with your creditors. Contrast this kind of service with debt settlement, which involves paying exorbitant fees to get your debt to creditors reduced.
- Combine all of your debts. Several unsecured obligations, such as credit cards, medical expenses, and personal loans, are combined into one bill with a single monthly payment through debt consolidation. By doing this, you might be able to manage your debt better and pay less interest each month.

Unemployment

Another issue that is typically beyond your control is unemployment. But if you make certain preparations now, you might be able to prevent the adverse effects.

Aside from the previously mentioned actions, like creating a budget and maintaining an emergency fund, establishing a side business is another strategy to minimize the negative impacts of unemployment. Having several sources of income is beneficial amid adversity.

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There are a variety of potential side businesses that are adaptable enough to fit around your present schedule because of technology and the gig economy. Examples include providing virtual assistance to multiple clients, delivering meals for Grubhub, driving for Uber, and maintaining a regular blog that makes money from advertisements.

Home foreclosure

When one of the aforementioned financial crises occurs, the likelihood that you may lose your house increases. To prevent house foreclosure, you should address these potential difficulties.

Here are a few steps to help you avoid this:

- As soon as you run into problems, contact your lender Since lenders don’t want to foreclose, they could cooperate with you to get you through a trying time.
- Investigate your alternatives for prevention. The Federal Housing Administration provides insightful advice on avoiding foreclosure.
- Inquire with a housing counselor. Housing counseling is supported nationally for free or at a reduced cost by the U.S. Department of Housing and Urban Development (HUD). If you require assistance, housing counselors can set up your finances, explain the law and your alternatives to you, and represent you in discussions with your lender.

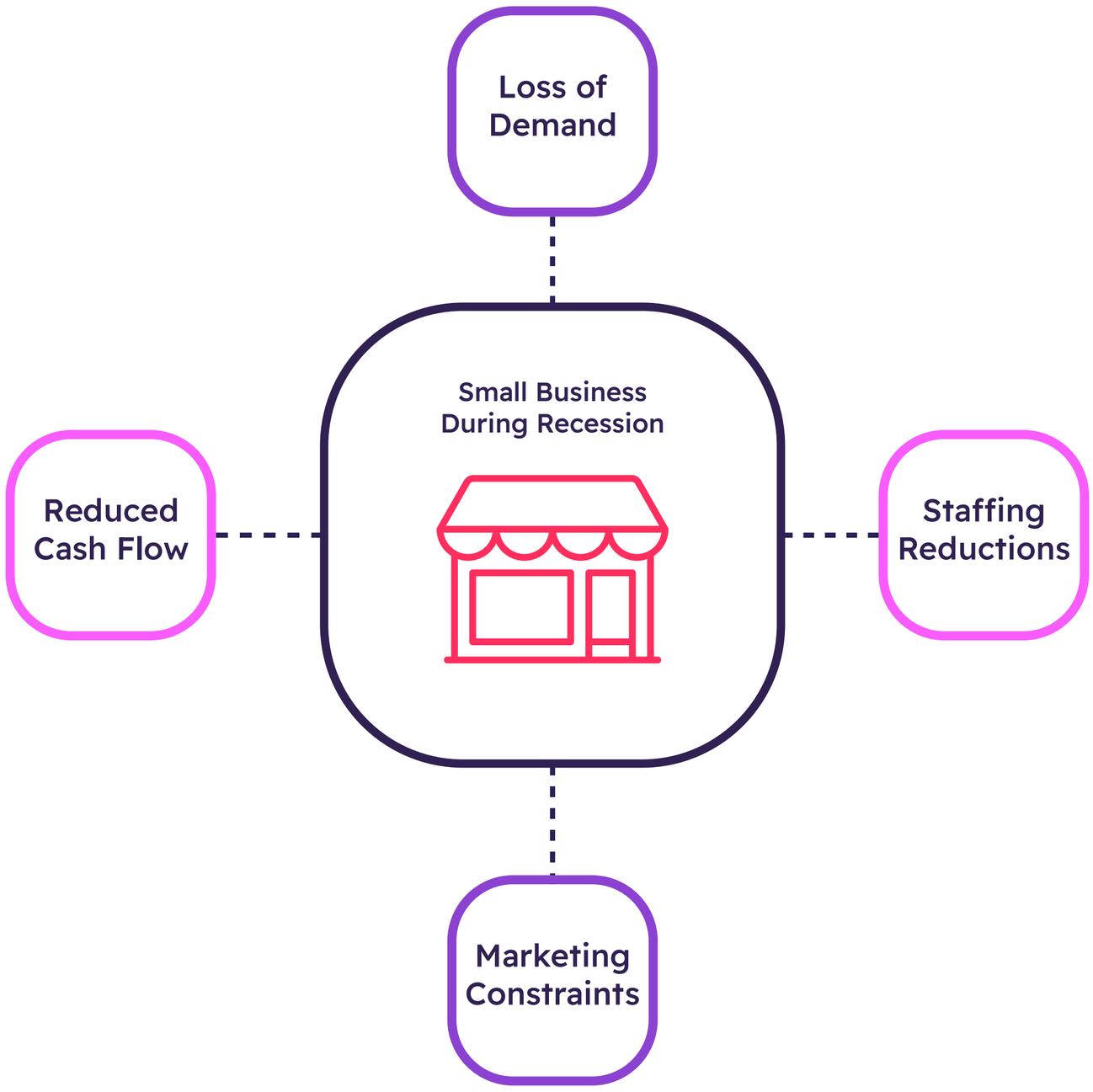
No savings

It is a helpless sensation to not have any funds when certain situations take place. Save as much money as you can as soon as you can to prevent this financial disaster as much as possible.

Savings for retirement are a prime example of this. If you begin full-time, professional employment in your early 20s, you have 40 to 50 years to accumulate the necessary savings to support yourself in your golden years. Although it seems like a long time, it goes by much more quickly than you anticipate. Even tiny sums saved throughout your younger years will help you build a nest egg for retirement.

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HOW WILL RECESSION IMPACT SMALL BUSINESSES?



Reduced Cash Flow

Small businesses sometimes don’t have access to significant financial resources, therefore they must manage their cash flow carefully. Money is spent as it is received, therefore if a customer’s payment is delayed, the entire cycle is put in peril. Customers may put off purchases or payments longer than normal during a recession, sometimes because they are awaiting their salary. This results in a domino effect of late payments from one vendor to another, slowing down generally all elements of the company. Because there is less financing available, small enterprises cannot borrow their way out of this.

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Loss of Demand
Small businesses that rely on a small number of key clients for the majority of their income risk losing a sizeable portion of that income if one or more of those clients decreases its purchase volume or ceases buying altogether. The situation for the firm is made worse if a significant client goes out of business since not only will it lose regular revenue, but it may also fail to collect whatever money the customer owes. In businesses where inventory is important, if this occurs when the vendor has a significant amount of stock reserved for a certain customer, the owner may lose money since they won't be able to sell the products to anybody else.

Staffing Reductions
Financial constraints brought on by lost sales and income force small businesses to make budget cuts wherever they can. One of the first actions a business owner does is to cut personnel since it is simpler to fire employees than it is to break a lease. There are fewer workers available to do the remaining job, regardless of whether the company fires its newest employees or those who become redundant as a result of lost business. As a result, there may be fewer possibilities to make money since the remaining workers may feel overworked or demotivated.

Marketing Constraints
Marketing is typically one of the first expenses to be cut when a company has budgetary challenges since it is frequently viewed as a luxury by businesses. It's feasible to get by without marketing and promotion for several months at a time, especially in businesses with a solid client base or a distinctive product with limited market rivalry. Because no new customers are being acquired to offset client loss, this might be bad in the long run. The knock-on effect of this is that, in the lack of sufficient business, advertising media may hike rates to pay their fixed expenses, making it much more difficult for small businesses to start marketing when the economy improves. Many small businesses combat this by finding creative new guerrilla marketing techniques that cost less money to implement.

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HOW WILL RECESSION IMPACT S&P 500?

In response to the Covid-19 pandemic that began in early 2020, some nations imposed quarantines during which time people were told to stay at home, and businesses were told to close. Equity markets, including the S&P 500, went into meltdown as a result of the anticipated adverse effect on economic growth.

The S&P 500 reached an all-time high on February 19, 2020, closing at 3,386.15. The index, however, had fallen to 2,237.40 on March 23, 2020, a 34 percent decrease in less than a month.

The effect on the American economy was likewise significant. GDP data from the second quarter (Q2) of 2020 show a 32.9 percent fall in economic growth in the United States from the same period last year.

Hope had resurfaced by August 2020, driving the S&P over its previous all-time highs from February. The exuberant confidence that pervaded the equity markets was caused by some causes, including the U.S. government's trillion-dollar fiscal stimulus package, loan programs for struggling firms, the Fed's monetary policy of low-interest rates, and vaccine manufacturing.

The U.S. GDP numbers for Q3 2020 showed that the economy had continued to experience growth, increasing by 33.4 percent from a year earlier.

GDP increased by 4.3 percent over the same quarter a year earlier in Q4 2020.

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S&P 500 peak to trough around recessions

Recession Dates	Peak Date	Trough Date	Peak to Trough	Pullback (Days)
May 1937 - June 1938	3/10/1937	3/31/1938	-54%	386
Nov 1948 - Oct 1949	6/15/1948	6/13/1949	-21%	363
July 1953 - May 1954	1/5/1953	9/14/1953	-15%	252
Aug 1957 - April 1958	7/15/1957	10/22/1957	-21%	99
April 1960 - Feb 1961	8/3/1959	10/25/1960	-14%	449
Dec 1969 - Nov 1970	11/29/1968	5/26/1970	-36%	543
Nov 1973 - Mar 1975	1/11/1973	10/3/1974	-48%	630
Jan 1980 - July 1980	2/13/1980	3/27/1980	-17%	43
July 1981 - Nov 1982	11/28/1980	8/12/1982	-27%	622
July 1990 - Mar 1991	7/16/1990	10/11/1990	-20%	87
Mar 2001 - Nov 2001	3/24/2000	10/9/2002	-49%	929
Dec 2007 - June 2009	10/9/2007	3/9/2009	-57%	517

From its epidemic low of 2,237.40 in March, the S&P 500 soared, ending 2020 at 3,756.07 on December 31, 2020. In 2021, the S&P maintained its upward trend. The index reached a new record high on December 27, 2021, closing at 4,766.18 points. The index's price on April 20, 2022, was 4,462.21.

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HOW WILL RECESSION IMPACT CRYPTO?

First off, it’s crucial to remember that the global crypto, even at its peak, represents a small portion of the world economy. For additional context, the market capitalization of the crypto industry reached its greatest level to date in November 2021, topping $3 trillion, although being below $1 trillion at the time of publication.

Comparatively, the global GDP was around $94.93 trillion in the same year, which is almost 10% more than what was reported in 2020.

There is undoubtedly a significant difference between centralized and decentralized economies. As a result, the crypto market could still be too tiny to bring about a worldwide market downturn on its own. However, if the marketplaces experience the same fate, it might have disastrous effects on crypto. The risk of exposure may ultimately change depending on the market.

Like the traditional market, crypto is not immune to the problems of an economic downturn or crisis. Naturally, investors, both individuals, and institutions, would be most impacted by the crypto market during a period of recession. Investors have a strong propensity to try to counterbalance their high-risk investments during economic crises of any kind. Unfortunately, most investors, especially individual investors, view crypto investments as “high-risk,” and they might be among the assets to experience investment retraction during a recession.

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Investment retraction can cause panic selling, among other things, which in turn causes significant declines in the price and value of the majority of the market's crypto assets.

A recession may also have an impact on human capital in the crypto market. To put it another way, more projects emerge as the rate of crypto acceptance rises, and job prospects in the sector follow, but the contrary is also true.

A crypto organization runs a significant danger of being destroyed by the impacts of a recession if its reserves are largely dominated by crypto, especially non-stablecoins. Such a corporation may eventually see widespread layoffs or, at the very least, uniform pay reductions if it attempts to decrease expenses, as was previously noted as a common outcome. In the first scenario, growing unemployment may be imminent.

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HOW WILL RECESSION IMPACT STOCKS?

In this case, the proverb “what goes up must come down” is true. After achieving significant development and success, income and employment start to drop for a variety of reasons. A fast correction in overbought asset values, a decline in consumer spending owing to inflation, or an external incident like an invasion or supply shock might all be the cause of the slump and force businesses to lay off workers.

The prices of stocks often decline during a recession. Share values can move wildly on the markets, which can be unstable. Investors respond swiftly to any inkling of news, good or bad, and the need for protection can lead some to withdraw all of their funds from the stock market.
Cutting payrolls is a popular response since businesses’ worker wages and consumer prices are “inelastic,” or initially resistant to change. Rising unemployment reduces consumer spending, even more, causing an economic downturn in a vicious cycle. A recession is often characterized by two or more quarters of real GDP decrease. The National Bureau of Economic Research (NBER) utilizes several variables, including GDP, employment, retail sales, and industrial output to define a recession as any time of “substantial reduction in economic activity that is dispersed across the economy and lasts more than a few months.

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WHO CAN BENEFIT FROM A RECESSION?

Firms Offering Cheap Entertainment
Firms offering cheap entertainment. It is stated that bookies and bartenders prosper during recessions because customers seek to “drown their sorrows” with little bets and alcohol. Internet streaming and online entertainment are projected to witness an increase in demand during the 2020 Coronavirus recession.

Firms That Market Substandard Goods
Value products, second-hand shops, etc. are examples of items whose demand increases as income declines. Supermarkets are one company that won’t suffer from the recession. People will reduce their spending on luxury, but not on food.

The cost of purchasing a home
The cost of purchasing a home might decrease if asset prices decline. Suitable for first-time purchasers. It could lessen wealth disparity.

The Life Expectancy May Increase
Studies of the Great Depression reveal that life expectancy increased in areas where unemployment rates climbed. Although it may seem counterintuitive, there is logic in the idea that those who are jobless could spend less on alcohol and drugs, which would improve their health. They could travel less by automobile and hence have a lower risk of being in deadly crashes.
For retirees and those on fixed incomes, lower inflation might be advantageous.

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SHOULD YOU DIVERSIFY YOUR ASSETS?

By spreading investments over numerous financial instruments, sectors, and other categories, diversification is an approach to lowering risk. By making investments in many sectors that would each respond to the same occurrence differently, it seeks to limit losses.
Diversification is the most crucial element of achieving long-term financial goals while avoiding risk, according to the majority of investing specialists, even if it does not guarantee loss. Here, we examine the reasons behind this and how to diversify your portfolio.

- By investing in products that cover a variety of financial instruments, sectors, and other categories, diversification lowers risk.
- While systematic or market risk is typically unavoidable, unsystematic risk can be reduced by diversification.
- Investors have the option of selecting their assets to invest in or an index fund that is made up of several businesses and holdings.
- A diverse portfolio may be difficult to balance, costly, and have lower returns due to reduced risk.
- Better possibilities, satisfaction in learning about new assets, and higher risk-adjusted returns may result from a diverse portfolio.

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WHAT IS BUCKETING APPROACH?

A financial technique known as the retirement bucket method divides your income sources into three categories. Depending on how long the funds will be needed, they are divided into three categories: immediate (short-term), intermediate, and long-term.
The theory behind this method is that since you'll have access to cash immediately, you won't have to worry about stock market volatility. Theoretically, you ought to be able to pay your annual withdrawals without having to sell your investments in a bearish market. The money from interest payments, dividends, and the success of your investments fill the buckets.



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HOW TO USE THE RETIREMENT BUCKET STRATEGY

You must adhere to particular strategies for each bucket in the retirement bucket method if you want to get the most out of it. Here are the management instructions for each bucket, along with information on how much to add to each bucket.

The Immediate Bucket

The immediate, or short-term, the category includes money in the bank and other liquid investments. Short-term certificates of deposit, U.S. T-bills, high-yield savings accounts, and other comparable assets are included in these investments. This bucket will be filled with liquid investments—those that can be quickly turned into cash. The key goal is to minimize risk and make sure that the money is there whenever you need it, even though generating interest on it is enticing.

Ideally, you should have enough money set aside in the near bucket to cover costs for up to two years. So, if you anticipate spending $50,000 a year in retirement, you should aim to have $100,000 in this fund.

The Intermediate Bucket

The costs for Years 3 through Year 10 of retirement are covered by this intermediate bucket. To keep up with inflation, money in the intermediate bucket should keep growing. You should refrain from making investments in high-risk assets, nevertheless.

Longer-term bonds and CDs, preferred stocks, convertible bonds, growth and income funds, utility stocks, REITs, and other instruments are common intermediate investments. You can choose the investments that will help you achieve your investing objectives by consulting with a financial expert.

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The Long-Term Bucket

Investments with a long horizon are those that imitate past stock market performance. These assets enable you to replenish your immediate and intermediate buckets while also growing your nest egg faster than inflation. Risky assets, which may be turbulent in the short term but have growth potential over ten years or more, are invested in long-term bucket investments.

Your long-term bucket using the retirement bucket strategy should comprise a diverse portfolio of equities and associated assets. From small-cap to large-cap equities, it should be distributed across local and foreign assets.

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THE IMPORTANCE OF A RETIREMENT BUDGET

Addresses Medical Emergencies

People cannot foresee what will happen in the future since it is filled with uncertainty. The expense of healthcare is essential to comprehending the significance of retirement planning. Old age raises the likelihood of complicated medical issues, which can be stressful if there is no financial security. The cost of healthcare is likewise rising alarmingly quickly. Medical crises cannot be bargained for, but other human demands may. People, therefore, need a substantial retirement plan to cover any potential medical emergencies.

Helps in Fighting Inflation

When making retirement plans, inflation is a crucial element to take into account. People that are close to retirement need to budget for the growing expenditures since their monthly income will soon be gone. The cost of goods and services is rising as the economy shifts, which might lower living standards. What may be less expensive now may be more expensive tomorrow. Retirement planning enables people to make early investments and develop their savings to offset the impacts of inflation.

Ensures Financial Independence

A successful retirement plan guarantees that retirees won't rely on others for their financial requirements when they stop working. Older people have relied on their kids and friends for financial help after retirement for decades. Without a salary and limited familial support, many people frequently struggle to meet their necessities. By making a retirement plan, one may guarantee that they are financially secure even after leaving the workforce and do not require assistance from friends or family.

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To Safeguard Property And Assets
Even after retirement, a person who invests in property and assets needs them to survive. Even after retirement, people still have family responsibilities. Many people can be forced to sell their possessions and assets if they don't have a retirement plan to pay for their lifestyles. Making a retirement plan enables people to protect their assets and property for their offspring and grandkids.

To Benefit From Returns of Investment
To increase their retirement benefits for a longer length of time, people should start saving for retirement as early as feasible. They will be able to take advantage of the compounding impact and maintain a manageable savings plan for a longer length of time in this way. Planning for retirement enables people to reap the rewards of saving over a longer period. For professionals and investors, this compounding impact supports the significance of retirement preparation.

To Deal With Transitions Smoothly
Every person's life contains numerous changes that occasionally call for prompt action. These adjustments could need to be made in a hurry, which would mean using cash already on hand. It could involve a change in employment, a career change, or the relocation of inhabitants. People may take a break from work after many years of employment to pursue further education to accomplish their life objectives. Retirement planning facilitates a smooth transition in any scenario without having an impact on personal finances.

To Make Smart Decisions
The effects of financial decisions are both immediate and long-term. When making financial decisions, people may consider issues like when to claim social security. How do I lower my taxes? How can I make the most of what my work offers? Making a retirement plan helps people become financially enlightened so they can make wise financial decisions. A retirement plan gives people the financial knowledge they need to make informed decisions with respect to accomplishing their goals.

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THE DIFFERENCE BETWEEN A SAVINGS ACCOUNT AND A CD (CERTIFICATE OF DEPOSIT)

In general, saving money for the future is advised whenever practical. A typical savings account or a certificate of deposit (CD) are preferable alternatives for your local bank or credit union if you want a more safe way to hold onto your money, even if tucking cash under your mattress could seem like the simplest answer for some. There are sufficient dissimilarities between them that you should be able to choose which best meets your needs even though both earn interest and have certain built-in advantages.

Here are some things that both savings accounts and certificates of deposit have in common:

- Certificates of deposit (CDs) often provide higher interest rates than savings accounts do.
- The returns on savings accounts are susceptible to change, but the yields on certificates of deposit are fixed for the whole of the certificate's term.
- Because certificates of deposit are term deposits, the money is invested for a certain amount of time. Term deposits is different from savings accounts.

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- Funds may be added to savings accounts at any time, but after a certificate of deposit has been created, further funds cannot often be added.
- Savings accounts are better suited for short-term financial objectives, such as your emergency fund, while certificates of deposit (CDs) are more suitable for medium-term financial objectives.
- There is the possibility that savings accounts may have a monthly maintenance cost. • In contrast to certificates of deposit, savings accounts often demand for a smaller initial deposit than do certificates of deposit.
- Withdrawals that don’t adhere to the terms of the account are subject to a variety of different penalties. If there are an excessive number of withdrawals from a savings account, the account could be closed or converted into a checking account. Taking money out of a CD before the maturity date incurs penalties, one of which is the loss of interest.

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THE IMPORTANCE OF CREDIT CARDS

PERSONAL CREDIT BENEFITS

Credit cards play a significant role in people's daily lives. Credit cards are a practical and safe method of payment for customers, whether they are filling up on gas and groceries or booking a hotel and rental vehicle for a trip. Credit cards are a desirable method of payment due to their advantages including damage protection on goods and the simplicity of contesting erroneous charges or fraudulent behavior.

Credit cards can help you establish a strong credit history in addition to being simple to use and providing extra protection. Responsible customers will discover that lenders are more eager to extend them extra credit in the form of higher credit lines, mortgages, and consumer loans when they make timely payments and utilize their credit cards responsibly.

BUSINESS CREDIT BENEFITS

Capital is sometimes difficult to come by for startups and company owners trying to launch entrepreneurial ideas. When conventional funding options, like small-business loans, aren't accessible, credit cards serve as a crucial financial lifeline for small businesses. Credit cards support businesses financially and foster the expansion of small businesses.

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EFFECTS ON THE ECONOMY

Credit cards are crucial for both individuals and businesses, as well as for sustained economic growth. In-person transactions work best with cash, and it takes time to cash checks. However, using credit cards and electronic payments greatly simplifies interacting with a worldwide market. This convenience increases cross-country transactions that boost GDP and consumption, both of which result in employment growth.
Credit cards offer customers a mechanism to bridge the gap between paychecks in emergencies and give merchants a guaranteed method of payment, which both contribute to the cycle of increased spending and production.

REWARDS PROGRAMS AND OTHER BENEFITS

Many modern credit cards make an effort to engage customers by providing extra consumer advantages and perks. You can be eligible for benefits like cash back, discounted prices, travel cancellation insurance, and air miles depending on the sort of card you have. You may pick a credit card that offers benefits that match your lifestyle by doing a little comparison shopping.
With certain credit cards, you may finance brand-new things for several months without paying interest. By doing this, you may pay for an urgent medical appointment or auto repair without incurring interest or loan fees.

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WHAT COMES AFTER RECCESION?

The business cycle stage that comes after a recession and is known as “economic recovery” is characterized by a prolonged period of improving corporate activity. Typically, when the economy recovers, the gross domestic product (GDP), earnings, and unemployment all decrease.
The process of adapting and adjusting to new circumstances, such as those that led to the recession in the first place and the new laws and regulations put in place by governments and central banks in reaction to the crisis, occurs during an economic recovery.
As jobless people find new employment and bankrupt enterprises are acquired or divided up by others, the labor, capital products, and other productive resources that were locked up in companies that failed and went out of business during the recession are re-employed in new activities.
Recovery is the process through which an economy mends the harm it has suffered and prepares for fresh expansion.
Entrepreneurs must take into consideration recent developments in the economy as they re-organize productive labor and capital into new firms and activities. Real economic shocks have contributed to the recession in several business cycles, such as the 1970s and 2008 oil price surges.
Compared to the cheap credit days of the boom that preceded the crash, businesses often have to deal with a leaner credit environment. New organizational structures and technological advancements could be necessary.
Almost often, when a business moves from a boom to a bust to recovery, the fiscal and regulatory landscape of the government changes.

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In the end, a recovery can alter an economy's economic activity patterns—sometimes dramatically, other times scarcely perceptibly. Similar to how the body breaks down dead and damaged tissue to develop new, healthy cells and tissues after an accident, the economy heals the damage from the earlier portions of the economic cycle by reallocating, reusing, and recycling resources into new uses. Importantly, it is essential that the company and investment liquidations caused by the recession are completed and the resources locked up in them are released to flow to new uses and new firms for the recovery process to move forward. Once resources have been partly or entirely redistributed across the economy, this process of recovery eventually ushers in a new period of development and expansion.

Examples of Economic Recovery

Years may pass during a period of expansion and recovery. Beginning in June 2009, the economy started to recover from the recession and financial crisis of 2008. The first quarter of 2009 had a real GDP contraction of 5.5 percent, while the second quarter saw a further contraction of 0.7 percent. Between the 3rd and 4th quarters of 2009, the economy began to show signs of recovery. After bottoming out in February 2009, the Dow Jones Industrial Average, a well-known leading indicator and proxy for economic success, had already begun climbing for four months.

The Congressional Budget Office (CBO) published a recording timetable for recovery and expansion over the following ten years in July 2020.

The CBO forecasts that the economy will recover at a moderate pace, with projected real GDP growth of 2.2 percent for the U.S. in 2024, following the significant disruption to supply chains, business closures, and employee layoffs brought on by the public health mandates and social distancing orders.

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Fun Facts

How Often Do Recessions Happen?

Once more, since 1857, there has been a recession approximately every three and a half years. In the past, the government believed that the wisest course of action for all concerned parties was to let recessions burn themselves out. Since the end of World War II, we have gone almost five years—58.4 months—between recessions. Beginning at the end of the Great Recession, the last economic upswing lasted 128 months. By that standard, the Pandemic Recession came when we were overdue for an economic slowdown.

What's the Worst Effect of a Recession?

According to an old economics joke, a recession occurs when someone else loses their job, but depression occurs when you do. Few economists have made the switch to stand-up comedy.

Your employment is the primary source of your income, therefore it's crucial to have a few months' worths of wages set aside as an emergency fund, especially during a recession when finding work becomes more and more difficult.

What's the Best Thing to Do with Your Money during a Recession?

Clear up any credit card debt. This is why: You won't receive an 18 percent return on investment from most other assets during a recession, but paying off a credit card with an 18 percent interest rate is similar to doing so.

However, as long as rising interest rates aren't the cause of the recession, bond prices normally increase in value during a recession.

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The collapse of Lehman Brothers

In 2007, Lehman Brothers was the only corporation to back a greater number of mortgage-backed securities than any other company. On September 15, 2008, the company announced that it will be filing for bankruptcy. This bankruptcy petition was the most significant in the annals of US history. Analysts believe that this event was one of the primary causes of the financial crisis that began in the stock market in 2008.

How the US dollar was affected

Global currencies suffered a severe loss. One prominent example is the pound, which had a 31-year low during the crisis brought on by the collapse of the US housing and stock markets. However, even though the US was the original epicenter of the crisis, the US dollar rose. The US dollar is the world's reserve currency and is seen as a safe-haven asset, thus analysts claim that this was a reaction to the US Federal Reserve's monetary easing during the recession.

The Dodd-Frank Act

The Dodd-Frank Wall Street Reform and Consumer Protection Act was enacted in 2010, as a direct reaction to the financial crisis that occurred in 2008, with the intention of protecting consumers and holding Wall Street accountable.

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CONCLUSION

Mortgage foreclosure and financial market crises, as well as a long recession that some have dubbed the Great Recession, hurt the U.S. economy from 2007 to 2010. There is ongoing debate and doubt over the relationships between these events, or more generally, their causes, scope, and impacts.

We at Business Explained want you to realize that the actual economy in the United States and the financial crisis that led to this terrible recession look to be turning points. Even if this is encouraging news after years of bad news, we must bear in mind how difficult it is to anticipate the economy and the financial markets during a crisis.

Consensus predictions have frequently been inaccurate, and surprising, even unprecedented, occurrences have occurred quickly after one other. The theme of the day should be cautious optimism. We worry that certain analysts' and the financial markets' recent responses convey too much optimism without acknowledging adequate uncertainty.

The worst of the financial market turmoil may have passed, or it may even be likely, and the economy will now begin to steadily recover. The dangers associated with this forecast, however, prevent markets and authorities from relaxing. Even though it appears that recovery is already underway, public policy should continue to focus on the financial and economic crises and implement the numerous existing measures. That is a better result than having to deal with the crisis' second leg without a strong foundation of efforts to deal with the issues.

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